LINE #	CASE #	CASE TITLE	RULING
LINE 1	22CV399095	Terra Fritch et al vs Universal Protection L.P et al	Hearing: Motion Summary Judgment Tentative ruling will be electronically sent to the parties only, as it contains information filed under seal
LINE 2	22CV403117	LVNV Funding LLC v. Deluna (Class Action)	Motion: Compel Arbitration is GRANTED Click on line 2 for tentative ruling
LINE 3	22CV405334	Hecker v. Mathew Enterprise, Inc. (Class Action)	Motion: Preliminary Approval is GRANTED Click on line 3 for tentative ruling
LINE 4	23CV424597	Cowley v. Apple, Inc.	Hearing: Motion for Reclassification is DENIED Click on line 4 for tentative ruling
LINE 5	24CV431503	Mirza-Aliev v. 800 Moffett MV Manager, LLC (Class Action)	Hearing: Motion for Final Approval is Continued to July 23 to allow parties to file declaration of settlement administrator
LINE 6	24CV433252	Gaspar v. Big T Supermarket, Inc. (Class Action/PAGA)	Motion: Preliminary Approval is GRANTED Click on line 6 for tentative ruling
LINE 7	24CV446330	Haynie v. Google (Defendant Alphabet has been dismissed per stipulation and order)	Hearing: Demurrer is OVERRULED Click on line 7 for tentative ruling
LINE 8	25CV470518	SARINA HALEY et al vs FF PROPERTIES, L.P et al	Motion: Compel Arbitration continued to June 25, CMC continued to same date as well

LINE 9			
LINE 10			
LINE 11			
LINE 12			
LINE 13			

Calendar Line 1

Case Name:
Case No.:

- oo0oo -

Calendar Line 2

Case Name: *LVNV Funding, LLC v. Robert DeLuna, et al.*
Case No.: 22CV403117

This action is comprised of a collection lawsuit by plaintiff/cross-defendant LVNV Funding LLC ("LVNV") and putative class action cross-complaint by defendant/cross-complainant Rober DeLuna alleging that LVNV engaged in unfair debt buying practices in violation of the California Fair Debt Buying Practices Act, (Civ. Code, §§ 1788.50-1788.64) ("CFDBPA").

Before the Court is LVNV's motion to compel arbitration, which is opposed. As discussed below, the Court GRANTS LVNV's motion to compel arbitration and GRANTS LVNV's request to stay the matter.

I. BACKGROUND

According to the allegations of the operative complaint ("Complaint"), filed on August 12, 2022, LVNV is the owner of debt owned by Mr. DeLuna. (Complaint, p. 2, ¶ 10.) In its judicial form complaint, LVNV asserted common counts for open book account, money had and received, money lent by plaintiff to defendant at defendant's request and money paid, laid out, and expended to or for defendant a defendant's special instance and request.

On June 30, 2023, Mr. DeLuna filed a putative class action cross-complaint ("Cross-Complaint") against LVNV asserting a single cause of action for violation of the California Fair Debt Buying Practices Act ("CFDBPA") codified in Civil Code section 1788.50, et. seq. According to the allegations of the Cross-Complaint, Mr. DeLuna is alleged to have incurred a financial obligation in the form of a consumer credit account issued by WebBank, which is evidenced by an electronic promissory note created and maintained by LendingClub Corporation ("LendingClub"). (Cross-Complaint, ¶¶ 10-11.) The alleged debt and electronic promissory note (the "Note") were transferred by WebBank to LendingClub within two business days after June 20, 2017. (Cross-Complaint, ¶ 12.)

On information and belief, Mr. DeLuna pleads that the debt and Note were thereafter allegedly transferred to an investor, Golden Caps Trust ("Golden Caps"), for whom LendingClub acted as an agent. (Cross-Complaint, ¶ 13.) LendingClub received the last payment on the alleged debt on December 2, 2019, with no further payments made after that point. (Cross-Complaint, ¶ 14.)

On July 31, 2019, Golden Caps removed the alleged debt from its books as an asset and treated the alleged debt as a loss or expense, and as a result as the "charge-off creditor at the time of charge off" within the meaning of Civil Code section 1788.58, subdivision (a)(6), and the alleged debt was thereafter a "charged-off consumer debt" within the meaning of Civil Code section 1788.50, subdivision (a)(2). (Cross-Complaint, ¶ 15.)

Mr. DeLuna alleges that on April 30, 2020, the alleged debt was sold or resold to LVNV for collection purposes, but possession or control of the Note was never transferred to it. (Cross-Complaint, ¶ 16.) On August 12, 2022, LVNV filed the underlying Complaint in an attempt to collect on the alleged debt. (Cross-Complaint, ¶ 18.) Mr. DeLuna alleges that

LVNV falsely pleads in the Complaint that it complied with the applicable provisions of the CFDBPA and alleges common counts instead of breach of contract because it does not possess or control the Note. (Cross-Complaint, ¶¶ 20-22.)

II. REQUESTS FOR JUDICIAL NOTICE

A. DeLuna's Request

In support of his opposition, DeLuna requests judicial notice of the following items:

(1) The Complaint, filed on August 12, 2022;
(2) The Answer filed on October 10, 2022;
(3) The Motion for Leave to File Class Action Cross-Complaint and Reclassification filed on December 8, 2022;
(4) The Stipulation and Order Granting Leave to File Amended Answer filed on December 21, 2022;
(5) The Order granting Motion for Leave to File Class Action Cross-Complaint and Reclassification filed on June 30, 2023
(6) Class Action Cross-Complaint filed on June 30, 2023;
(7) LVNC's Answer to the Cross-Complaint filed on August 1, 2023;
(8) LVNV's anti-SLAPP motion filed on September 6, 2023,
(9) Joint Status Report Regarding Discovery Necessary to Oppose anti-SLAPP motion filed on November 6, 2023;
(10) Motion to Conduct Discovery filed on December 1, 2023;
(11) Plaintiff's Opposition to Motion to Conduct Discovery filed on December 22, 2023;
(12) Joint Further Case Management Conference Statement filed on March 26, 2024;
(13) LVNV's Reply in Support of anti-SLAPP motion filed on May 8, 2025;
(14) Case Management Statement filed on June 11, 2025;
(15) Joint Further Case Management Statement filed on June 20, 2025; and
(16) Joint Further case Management Statement filed on August 11, 2025;

Evidence Code section 452, subdivision (d), permits judicial notice of records of any court of this state or any court of record of the United States or of any state of the United States. (Code Civ. Proc., § 452, subd. (d).) The above items are court records, therefore they are proper items of judicial notice. Thus, the Court takes judicial notice of the existence of the documents and the legal effect of the court orders but does not take notice of the truth of any disputed contents. (*Oh v. Teachers Ins. & Annuity Assn. of America* (2020) 53 Cal.App.5th 71, 79-81 (*Oh*).) Accordingly, DeLuna's request for judicial notice is GRANTED.

B. LVNV's Request for Judicial Notice

LVNV requests judicial notice of the following items:

(1) The Complaint, filed on August 12, 2022:<u>Exhibit A</u>;
(2) The Answer filed on October 10, 2022: <u>Exhibit B</u>;
(3) Substitution of Counsel filed by DeLuna on December 8, 2022: <u>Exhibit C;</u>
(4) The Motion for Leave to File Class Action Cross-Complaint and Reclassification filed on December 8, 2022: <u>Exhibit D</u>;

(5) Dismissal with Prejudice of Complaint filed by LVNV on December 30, 2022: Exhibit E;
(6) Amended Notice of Hearing on the Motion for Order Granting Leave to File Class Action Complaint filed on March 13, 2023: Exhibit F;
(7) The Order granting Motion for Leave to File Class Action Cross-Complaint and Reclassification filed on June 30, 2023: Exhibit G;
(8) Class Action Cross-Complaint filed on June 30, 2023: Exhibit H;
(9) LVNC's Answer to the Cross-Complaint filed on August 1, 2023: Exhibit I;
(10) LVNV's anti-SLAPP motion filed on September 6, 2023: Exhibit J;
(11) Stipulation setting Hearing on anti-SLAPP motion on September 6, 2023: Exhibit K;
(12) *Ex Parte* Application to Amend or Vacate anti-SLAPP Motion Briefing Schedule filed on October 4, 2023: Exhibit L;
(13) Opposition to *Ex Parte* Application filed on October 6, 2023: Exhibit M;
(14) Order Granting *Ex Parte* Application filed on October 10, 2023: Exhibit N;
(15) Motion to Conduct Discovery filed on December 1, 2023: Exhibit O;
(16) Order Granting Leave to Conduct Discovery filed on April 5, 2024: Exhibit P;
(17) Stipulation and Proposed Order re: anti-SLAPP Briefing Schedule and Setting Hearing filed on November 25, 2024: Exhibit Q; and
(18) Order Denying LVNV's anti-SLAPP motion filed on June 23, 2025.

Here, the exhibit are all court records. As explained above, court records are proper items for judicial notice. Thus, the Court takes judicial notice of the existence of the documents and the legal effect of the court orders but does not take notice of the truth of any disputed contents. (*Oh, supra,* 53 Cal.App.5th at pp. 79-81.) Accordingly, LVNV's request for judicial notice is GRANTED.

III. LVNV'S MOTION TO COMPEL ARBITRATION

LVNV moves for an order compelling arbitration and staying proceedings pursuant to the arbitration provision in the Borrower Agreement.

A. Legal Standard

In ruling on a motion to compel arbitration, the Court must inquire as to (1) whether there is a valid agreement to arbitrate, and (2) if so, whether the scope of the agreement covers the claims alleged. (See *Howsan v. Dean Witter Reynolds* (2002) 537 U.S. 79, 84.) "Under both federal and state law, the threshold question presented by a petition to compel arbitration is whether there is an agreement to arbitrate. [Citations.] The threshold question requires a response because if such an agreement exists, then the court is statutorily required to order the matter to arbitration." (*Fleming v. Oliphant Financial, LLC* (2023) 88 Cal.App.5th 13, 19, internal quotation marks omitted.) The agreements at issue expressly provide that they are governed by the Federal Arbitration Act.

"The FAA [Federal Arbitration Act], which includes both procedural and substantive provisions, governs [arbitration] agreements involving interstate commerce." (*Avila v. Southern California Specialty Care, Inc.* (2018) 20 Cal.App.5th 835, 840.) However, "[t]he procedural aspects of the FAA do not apply in state court absent an express provision in the arbitration agreement." (*Ibid*.) Where the Agreement expressly provides that it "shall be interpreted and enforced in accordance with the [FAA]," federal procedural and substantive law apply. (See *Rodriguez v. American Technologies, Inc*. (2006) 136 Cal.App.4th 1110, 1122 ["[t]he phrase 'pursuant to the FAA' is broad and unconditional," and unambiguously adopts both the procedural and substantive aspects of the FAA].)

Under the FAA, the Court must grant a motion to compel arbitration if any suit is brought upon "any issue referable to arbitration under an agreement for such arbitration" (9 U.S.C. § 3), subject to "such grounds as exist at law or in equity for the revocation of any contract…" (9 U.S.C. § 2). The moving party must prove by a preponderance of evidence the existence of the arbitration agreement and that the dispute is covered by the agreement. (See *Cruise v. Kroger Co.* (2015) 233 Cal.App.4th 390, 396 [under both federal and state law, "the threshold question presented by a petition to compel arbitration is whether there is an agreement to arbitrate"]; *Rosenthal v. Great Western Fin'l Securities Corp.* (1996) 14 Cal.4th 394, 413 (*Rosenthal*) [moving party's burden is a preponderance of evidence].) The burden then shifts to the resisting party to prove a ground for denial. (*Rosenthal*, *supra,* 14 Cal.4th at p. 413.)

"In determining the rights of parties to enforce an arbitration agreement within the FAA's scope, courts apply state contract law while giving due regard to the federal policy favoring arbitration." (*Pinnacle Museum Tower Assn. v. Pinnacle Market Development (US), LLC* (2012) 55 Cal.4th 223, 236 (*Pinnacle*).)

> But the FAA's policy favoring arbitration … is merely an acknowledgment of the FAA's commitment to overrule the judiciary's longstanding refusal to enforce agreements to arbitrate and to place such agreements upon the same footing as other contracts. Or in another formulation: The policy is to make arbitration agreements as enforceable as other contracts, but not more so. Accordingly, a court must hold a party to its arbitration contract just as the court would to any other kind.

(*Morgan v. Sundance, Inc*. (2022) 596 U.S. 411 (*Morgan*), internal citations and quotation marks omitted.)

On a motion to compel arbitration under the CAA, "[t]he party seeking arbitration bears the burden of proving the existence of an arbitration agreement, and the party opposing arbitration bears the burden of proving any defense, such as unconscionability." (*Pinnacle, supra,* 55 Cal.4th at p. 236.)

B. Discussion

LVNV argues there is a valid arbitration agreement and requests for a stay pending arbitration. (Motion, p. 2:7-9.)

1. Waiver of Right to Compel Arbitration

As a threshold matter, DeLuna argues that LVNV's motion should be denied because it did not move to compel arbitration for three years since initiating this action and thus, it has waived its right to do so. (DeLuna's Opposition ("Opp."), pp. 5:17-24, 8:7.)

"[W]here the FAA applies, whether a party has waived a right to arbitrate is a matter of federal, not state, law." (*Davis v. Shiekh Shoes, LLC* (2022) 84 Cal.App.5th 956, 963 (*Davis*).)

However, “the test for determining waiver of the right to arbitrate is the same under the FAA and the [California Arbitration Act].” (*Zamora v. Lehman* (2010) 186 Cal.App.4th 1, 11.) The leading California case discussing waiver, *St. Agnes Medical Center v. PacifiCare of California* (2003) 31 Cal.4th 1187 (*St. Agnes*), adopted a set of factors from the Tenth Circuit opinion in *Peterson v. Shearson/American Express, Inc.* (10th Cir. 1988) 849 F.2d 464. Both federal and California law “reflect[] a strong policy favoring arbitration agreements and require[] close judicial scrutiny of waiver claims.” (*St. Agnes, supra,* 31 Cal.4th at p. 1195.) “[W]aivers are not to be lightly inferred and the party seeking to establish a waiver bears a heavy burden of proof.” (*Ibid.*)

Under the *St. Agnes* test, the following factors are relevant in deciding whether a party’s conduct constitutes a waiver of arbitration:

> (1) whether the party’s actions are inconsistent with the right to arbitrate; (2) whether the litigation machinery has been substantially invoked and the parties were well into preparation of a lawsuit before the party notified the opposing party of an intent to arbitrate; (3) whether a party either requested arbitration enforcement close to the trial date or delayed for a long period before seeking a stay; (4) whether a defendant seeking arbitration filed a counterclaim without asking for a stay of the proceedings; (5) whether important intervening steps [e.g., taking advantage of judicial discovery procedures not available in arbitration] had taken place; and [formerly] (6) whether the delay affected, misled, or prejudiced the opposing party.

(*St. Agnes, supra,* 31 Cal.4th at pp. 1195–1196 [internal quotations omitted].)

The sixth factor regarding prejudice is based on federal cases that “applied an arbitration-specific rule that required a showing of prejudice to establish waiver.” (*Quach v. California Commerce Club, Inc.* (2024) 16 Cal.5th 562, 569 (*Quach*).) In its 2022 *Morgan* decision, “the United States Supreme Court rejected this rule.” (*Quach*, 16 Cal.5th at p. 569.)

Morgan clarified that the federal “‘policy favoring arbitration’” is about putting arbitration agreements on equal footing with other contracts, not about favoring arbitration. ([*Morgan*, *supra*, 596 U.S. at p. 418].) Accordingly, the Supreme Court held that, under federal law, a court must apply the same rules that apply to any other contract when determining whether a party to an arbitration agreement has lost the right to enforce the agreement. (*Ibid.*)

Because our state law arbitration-specific prejudice requirement is based upon the federal precedent that *Morgan* overruled, we now abrogate it. California policy, like federal policy, puts arbitration agreements on equal footing with other types of contracts. Accordingly, under California law, as under federal law, a court should apply the same principles that apply to other contracts to determine whether the party seeking to enforce an arbitration agreement has waived its right to do so. (*Ibid.*)

“To establish waiver, there is no requirement that the party opposing enforcement of the contractual right demonstrate prejudice or otherwise show harm from the waiving party’s conduct.” (*Id.* at p. 585.) The multifactor test is not “a mechanical process in which each factor is assessed and the side with the greater number of favorable factors prevails,” nor is the list of factors exclusive: rather, the factors reflect the principles that should guide courts in determining whether a party has waived its right to demand arbitration. (*Zamora, supra,* 186

Cal.App.4th at p. 15, internal quotation marks and citation omitted.) "The waiver inquiry is exclusively focused on the waiving party's conduct; neither the effect of that conduct on the party seeking to avoid enforcement nor that party's subjective evaluation of the waiving party's intent is relevant." (*Quach*, *supra*, 16 Cal.5th at p. 585.)

California case law makes it clear that a waiver of arbitration is not lightly inferred, and the party seeking to establish a waiver bears a heavy burden of proof. (*St. Agnes, supra,* 31 Cal.4th at p. 1195; see also *Fleming Distribution Co. v. Younan* (2020) 49 Cal.App.5th 73, 80 (*Fleming*).) The Court will resolve any doubts as to whether a party's conduct constitutes a waiver in favor of finding no waiver. (*Franco v. Arakelian Enterprises, Inc.* (2015) 234 Cal.App.4th 947, 958 (*Franco*).)

Here, DeLuna argues that it is "highly probable" that LVNV knew of its right to compel arbitration. (Opp., p. 11:26-28.) He argues that LVNV knew of the arbitration provision ("Arbitration Provision") but it still filed the collections Complaint. (Opp., p. 11:24-26.) In response, LVNV argues that the Arbitration Provision expressly addressed whether a counterclaim could be compelled to arbitration. (Reply, p. 6-11.) It defines "claims," as "any past, present, or future claim, dispute, or controversy involving you (or persons claiming through or connected with you) … Claims include matters arising as initial claims, counterclaims, cross-claims, third-party claims, or otherwise. The scope of this Arbitration Provision is to be given the broadest possible interpretation that is enforceable." (Sajjad Decl., Exh. A.) Thus, the fact that LVNV filed its Complaint does not support waiver of LVNV's right to compel arbitration as to DeLuna's Cross-Complaint.

He further argues that LVNV abandoned its right to compel arbitration because: it failed to mention any desire to arbitrate this case; it filed an anti-SLAPP motion; it did not mention arbitration as an affirmative defenses; filed responses to motions filed by DeLuna; and on June 11, 2025, it filed an individual Case Management Statement and it did not check the "binding arbitration" option of the alternative dispute resolution section. (Opp., pp. 12:16-13:17.) Additionally, LVNV did not mention arbitration in the August 11, 2025, Joint Further Case Management Statement. (Opp., p. 13:20-21.) It was not until December 5, 2025, that the parties filed a Stipulation Regarding Various Matters Associated with Plaintiff's Anticipated Motion to Compel Arbitration. (Opp., p. 13:21-23.)

In reply, LVNV argues that the delay in filing the instant motion was caused by DeLuna's request for anti-SLAPP discovery. (Reply, p. 2:15-18.) It further asserts the timeline is as follows: on June 30, 2023, DeLuna filed his Cross-Complaint; on August 31, 2023, LVNV filed its anti-SLAPP motion; on September 7, 2023, the parties initially stipulated to set the hearing for the anti-SLAPP motion on November 16, 2023; on October 4, 2023, DeLuna moved *ex parte* to amend or vacate the briefing schedule so he could conduct discovery necessary to oppose the anti-SLAPP motion; on October 10, 2023, the Court granted DeLuna's request; on April 5, 2024, the Court granted DeLuna's motion for discovery related to the creation, maintenance, and transfer of the electronic promissory note related to DeLuna's note; on November 25, 2024, the parties filed a stipulation setting the hearing on the anti-SLAPP motion for May 22, 2025; and on June 23, 2025, the Court entered its order which denied the anti-SLAPP motion. (Reply, pp. 2:20-3:13.) On this basis, LVNV contends that if the delay due to the anti-SLAPP is removed from the timeline then less than 8 months passed from DeLuna's Cross-Complaint to the instant motion being filed. (Reply, p. 3:15-21.) The Court is not persuaded by this assertion because LVNV did not include arbitration as an affirmative defense in its answer to DeLuna's Cross-Complaint. (See *Guess?, Inc. v. Superior Court* (2000) 79 Cal.App.4th 553, 558 ["At a minimum, the failure to plead arbitration as an affirmative defense is an act inconsistent with the later assertion of a right to arbitrate."]; see also *Oregal v. PacPizza LLC* (2015) 237 Cal.App.4th 342, 355 ["an agreement to arbitrate is an affirmative defense to claims asserted in a lawsuit."].) Additionally, it was entirely silent as to any intent to compel arbitration in this matter until the Stipulation filed on December 5, 2025. Thus, LVNV failed to indicate its intent to arbitrate earlier and the Court declines to disregard the delay related to the anti-SLAPP motion.

While filing a dispositive motion can constitute participation in the litigation machinery, here, the Court notes that LVNV only filed the anti-SLAPP motion and most of the subsequent filings were in relation to the anti-SLAPP motion. While DeLuna argues the conduct at issue is more egregious than in *Quach, supra,* the Court disagrees. Here, there is no evidence that LVNV participated in discovery outside of the matters relevant to the anti-SLAPP motion; participated in meet and confer of substantive matters; and neither party contends that any depositions have been noticed. (*cf. Quach, supra,* 6 Cal.5th at pp. 586-587.) The factors in DeLuna's favor are LVNV's delay in its right to compel arbitration and the fact that it didn't give any indication in the answer, or the June 11, 2025, case management statement of its intent to assert that right. However, DeLuna does not address the remaining factors of the waiver analysis. Moreover, where there are any doubts as to whether a party's conduct constitutes a waiver, the Court will resolve them in favor of finding no waiver. (*Franco, supra,* 234 Cal.App.4th at p. 958.) Thus, the Court finds that DeLuna does not establish, by clear and convincing evidence, that LVNV waived its right to arbitrate.

2. Assignment of Right to Compel Arbitration

DeLuna argues that LVNV was not assigned any right to compel arbitration because his Cross-Complaint is based on the allegation that LVNV was not in possession of the electronic promissory note and the authoritative copy of it was never transferred to LVNV. (Opp., pp. 14:24-15:3.) In response, LVNV argues that it became the owner of DeLuna's loan on April 30, 2020, and the Borrower Agreement permits any subsequent holder to require binding arbitration of disputes. LVNV provides the bill of sale ("Bill of Sale") between LendingClub and Resurgent Acquisitions LLC, dated April 27, 2020. (See Declaration of Kimberly Hurley ("Hurley Decl."), Exh. 1.) Attached to the Bill of Sale is a Transfer and Assignment between Resurgent Acquisitions LLC and LVNV, which states, "[Resurgent Acquisitions LLC] without recourse, to the extent permitted under applicable law, hereby transfers, sells, assigns, conveys… to [LVNV] all of its right, title, interest in and to the receivables and other assets.. which was signed by authorized agents for both companies. (Hurley Decl, Exh. 1, p. 19.) DeLuna fails to submit any evidence to oppose the assignment from Resurgent Acquisitions LLC to LVNV. Moreover, the Borrower Agreement, states, "we may assign this Agreement and the Loan Agreement and Promissory Note, or any of our rights under this Agreement or the Loan Agreement and Promissory Note, in whole or in part at any time…" (Borrower Agreement, § 13; see also § 21(a) ["either party to this agreement, or *any subsequent holder,* may at its sole election, require that the sole and exclusive forum and remedy for resolution of a Claim be final and binding arbitration…"] [emphasis added].) DeLuna argues that the Loan Agreement and Promissory Note is the only document that evidences the complete loan transaction here. (Opp., pp. 15:24-16:3.) Despite DeLuna's request for production of the Loan Agreement and Promissory Note, LVNV did not produce it. Therefore, a copy of it is not before the Court at this time. The Court cannot review the language of a document that is not before it. Consequently, the Court cannot resolve this issue at this time. As a result, the Court will turn to LVNV's initial burden on this motion.

3. Existence of an Agreement

As one Court of Appeal summarized,

> [T]he moving party bears the burden of producing "prima facie evidence of a written agreement to arbitrate the controversy." (*Rosenthal, supra*, 14 Cal.4th at p. 413.) The moving party "can meet its initial burden by attaching to the [motion or] petition a copy of the arbitration agreement purporting to bear the [opposing party's] signature." (*Bannister v. Marinidence Opco, LLC* (2021) 64 Cal.App.5th 541, 543–544 [279 Cal. Rptr. 3d 112] (*Bannister*).) Alternatively, the moving party can meet its burden by setting forth the agreement's provisions in the motion. (*Condee v. Longwood Management Corp.* (2001) 88 Cal.App.4th 215, 219 [105 Cal. Rptr. 2d 597] (*Condee*); see also Cal. Rules of Court, rule 3.1330 ["The provisions must be stated verbatim or a copy must be physically or electronically attached to the petition and incorporated by reference."].) For this step, "it is not necessary to follow the normal procedures of document authentication." (*Condee*, at p. 218.) If the moving party meets its initial prima facie burden and the opposing party does not dispute the existence of the arbitration agreement, then nothing more is required for the moving party to meet its burden of persuasion.

(*Gamboa v. Northeast Community Clinic* (2021) 72 Cal.App.5th 158, 165–166.)

LVNV provides the declaration of Dan Sajjad, a software engineer for LendingClub Bank, National Association which is wholly owned by LendingClub. (Declaration of Dan Sajjad ("Sajjad"), ¶ 2.) Sajjad states that on June 14, 2017, DeLuna electronically signed the Borrower Agreement by checking a box to indicate his acceptance.

As a general matter, an electronic signature has the same legal effect as a handwritten signature. (See *Ruiz v. Moss Bros. Auto Group, Inc.* (2014) 232 Cal.App.4th 836, 843 (*Ruiz*).) "Still, any writing must be authenticated" before it may be received in evidence. (*Ibid*., internal citations omitted.) "Civil Code section 1633.9 addresses how a proponent of an electronic signature may authenticate the signature- that is, show the signature is, in fact, the signature of the person the proponent claims it is." (*Ibid*.) This code section provides, in pertinent part:

> An electronic record or electronic signature is attributable to a person if it was the act of the person. The act of the person may be shown in any manner, including a showing of the efficacy of any security procedure applied to determine the person to which the electronic record or electronic signature was attributable.

(Civ. Code, § 1633.9, subd., (a).)

"Under both federal and state law, the threshold question presented by a petition to compel arbitration is whether there is an agreement to arbitrate… This threshold inquiry stems from the basic premise that arbitration is consensual in nature." (*B.D. v. Blizzard Entertainment, Inc.* (2022) 76 Cal.App.5th 931, 942-943 (*B.D.*) [internal quotations and citations omitted].) "A clickwrap agreement is one in which an internet user accepts a website's terms of use by clicking an "I agree" or "I accept" button, with a link to the agreement readily available." (*Sellers v. JustAnswer LLC* (2021) 73 Cal.App.5th 444, 463 (*Sellers*.) Generally, California and federal courts have found clickwrap agreements to be enforceable. (See *B.D., supra* 76 Cal.App.5th at p. 946; see also *Zachman v. Hudson Valley Federal Credit Union* (2022) 49 F.4th 95, 103.)

"When the transactions occur electronically, as here, the consumer is not typically provided a physical copy of the contractual terms. In that context, and in the absence of actual notice, a manifestation of assent may be inferred from the consumer's actions…including, for example, checking boxes and clicking buttons-but any such action must indicate the parties' assent to the *same thing* which occurs only when…the contractual terms were presented to the consumer in a manner that made it apparent the consumer was assenting to those very terms when checking a box or clicking a button." (*Doe v. Massage Envy Franchising, LLC* (2022) 87 Cal.App.23, 31 [internal quotations omitted].) Thus, in order to establish mutual assent for the valid formation of an internet contract, a provider must first establish the contractual terms were presented to the consumer in a manner that made it apparent that consumer was assenting to those very terms when checking a box or clicking on a button." (*Sellers, supra,* 73 Cal.App.5th at p. 461.)

Sajjad states that his duties include maintaining archived website code for LendingClub's online lending platform. (Sajjad Decl., ¶ 2.) After reviewing business records maintain in the ordinary course of business, Sajjad describes the online application process, and he asserts that on June 14, 2017, DeLuna applied for a loan from WebBank through LendingClub's platform; he electronically signed the Borrower Agreement that day, which included checking the box accepting the terms; and the loan documents were generated, signed, and stored electronically. (Sajjad Decl., ¶¶ 3-10.) The Borrower Agreement included an arbitration opt-out and LendingClub's business records to not show that an arbitration opt-out was received from DeLuna. (Sajjad Decl., ¶¶ 11-12.) DeLuna would not have been able to proceed unless he electronically signed and accepted the terms of the Borrower Agreement. (Sajjad Decl., ¶8.) Thus, DeLuna would have been put on notice that the terms of Borrower Agreement would be contained within the hyperlink. (See *Sellers, supra,* 73 Cal.App.5th at p. 461.) As a result, it appears to the Court that there was mutual assent and thus, there was an agreement. DeLuna does not offer any argument as to the existence or validity of the Borrower Agreement.

4. Delegation Clause

LVNV argues that Arbitration Provision contains a delegation clause which delegates the validity and enforceability of the Agreement to the arbitrator. (MPA, p. 8:21-23.)

"Challenges to the validity of an arbitration clause itself are generally resolved by the court in the first instance. An exception to this rule applies when the parties have clearly and unmistakably agreed to delegate questions regarding the validity of the arbitration clause to the arbitrator." (*Nielsen Contracting, Inc. v. Applied Underwriters, Inc.* (2018) 22 Cal.App.5th 1096, 1108 [citing *Aanderud v. Superior Court* (2017) 13 Cal.App.5th 880, 890 (*Aanderud*)].) "There are two prerequisites for a delegation clause to be effective. First, the language of the clause must be clear and unmistakable. Second, the delegation must not be revocable under state contract defenses such as fraud, duress, or unconscionability. The 'clear and unmistakable' test reflects a heightened standard of proof that reverses the typical presumption in favor of the arbitration of disputes." (*Aanderud, supra,* 13 Cal.App.5th at p. 892 [internal citations omitted].) An unconscionability challenge must be specifically directed at the delegation provision, not the entire arbitration agreement. (*Id*. at p. 895; see also *Tiri v. Lucky Changes, Inc.* (2014) 226 Cal.App.4th 231, 248 (*Tiri*).)

The Arbitration Provision provides,

> Claim shall include any past, present, or future claim, dispute, or controversy including you…, on the one hand, and us and/or any subsequent holder…, on the other hand, relating to or arising out of this Agreement, any Loan Agreement and Promissory Note(s), the Site, and/or activities or relationships that involve, lead to, or result from any of the foregoing, including… *the validity or enforceability of this Arbitration Provision*, any part thereof, or the entire Agreement.

(Borrower Agreement, § 21(a) [emphasis added].)

Here, the delegation clause is clear and unmistakable because it explicitly delegates disputes regarding the interpretation of enforceability and validity of the Arbitration Provision to the arbitrator. DeLuna fails to offer any argument in response. (See *Sehulster Tunnels/Pre-Con v. Traylor Brothers, Inc.* (2003) 111 Cal.App.4th 1328, 1345, fn. 16 [failure to address point is "equivalent to a concession"].)

Based on the foregoing, the Court GRANTS LVNV's motion to compel arbitration and DeLuna is ordered to submit to arbitration pursuant to the Arbitration Provision. However, the Court notes that this decision is based on the delegation clause and thus, it has not opined on the question of whether the Arbitration Provision, as a whole, is unconscionable. Pursuant to the delegation clause, that is a question for the arbitrator to decide.

As the Court grants the motion, the matter is STAYED pending the completion of arbitration. (See 9 U.S.C. § 3; Code Civ. Proc., § 1281.4.)

IV. CONCLUSION

LVNV's motion to compel arbitration is GRANTED and the matter is STAYED pending the outcome of the arbitration.

The Court will prepare the order.

- oo0oo -

- oo0oo -

Calendar Line 3

Case Name: *Hecker v. Mathew Enterprise, Inc.*
Case No.: 22CV405334

This is a putative class and Private Attorneys General Act ("PAGA") action. Plaintiff Karen Hecker alleges defendant Mathew Enterprise, Inc. committed various wage and hour violations.

Before the Court is Plaintiff's motion for preliminary approval of settlement, which is unopposed. As discussed below, the Court GRANTS the motion.

V. BACKGROUND

According to the allegations of the operative first amended complaint ("FAC"), Defendant failed to: pay all wages; provide compliant meal periods or compensation in lieu thereof; provide compliant rest periods or compensation in lieu thereof; timely pay wages; furnish accurate wage statements; pay wages upon termination; and reimburse necessary business expenses. (FAC, ¶¶ 5, 14-23.)

Based on the foregoing, Plaintiff initiated this action on October 25, 2022, with the filing of the Complaint. On February 1, 2023, she filed the operative FAC, which asserts the following causes of action: (1) failure to pay minimum wages; (2) failure to pay overtime wages; (3) failure to provide meal periods; (4) failure to permit rest breaks; (5) failure to reimburse business expenses; (6) failure to provide accurate itemized wage statements; (7) failure to pay wages timely during employment; (8) failure to pay all wages due upon separation of employment; (9) violation of Business and Professions Code §§ 17200, *et seq*.; and (10) enforcement of Labor Code § 2698, *et seq*. (PAGA).

Plaintiff now seeks an order preliminary: granting approval of the Class Action and PAGA Settlement Agreement and Class Notice (the "Settlement"); conditionally certifying the proposed Class for settlement purposes; appointing Plaintiff as the Class representative; appointing Aegis Law Firm as Class Counsel; appointing ILYM Group, Inc. ("ILYM") as the Settlement administrator and authorizing the Class notice; and setting a final approval hearing.

VI. LEGAL STANDARDS FOR SETTLEMENT APPROVAL

A. Class Action

Generally, "questions whether a [class action] settlement was fair and reasonable, whether notice to the class was adequate, whether certification of the class was proper, and whether the attorney fee award was proper are matters addressed to the trial court's broad discretion." (*Wershba v. Apple Computer, Inc*. (2001) 91 Cal.App.4th 224, 234–235 (*Wershba*), disapproved of on other grounds by *Hernandez v. Restoration Hardware, Inc.* (2018) 4 Cal.5th 260.)

> In determining whether a class settlement is fair, adequate and reasonable, the trial court should consider relevant factors, such as the strength of plaintiffs' case, the risk, expense, complexity and likely duration of further litigation, the risk of

> maintaining class action status through trial, the amount offered in settlement, the extent of discovery completed and the stage of the proceedings, the experience and views of counsel, the presence of a governmental participant, and the reaction of the class members to the proposed settlement.

(*Wershba, supra*, 91 Cal.App.4th at pp. 244–245, internal citations and quotations omitted.)

In general, the most important factor is the strength of the plaintiffs' case on the merits, balanced against the amount offered in settlement. (See *Kullar v. Foot Locker Retail, Inc.* (2008) 168 Cal.App.4th 116, 130 (*Kullar*).) But the trial court is free to engage in a balancing and weighing of relevant factors, depending on the circumstances of each case. (*Wershba, supra*, 91 Cal.App.4th at p. 245.) The trial court must examine the "proposed settlement agreement to the extent necessary to reach a reasoned judgment that the agreement is not the product of fraud or overreaching by, or collusion between, the negotiating parties, and that the settlement, taken as a whole, is fair, reasonable and adequate to all concerned." (*Ibid.*, citation and internal quotation marks omitted.) The trial court also must independently confirm that "the consideration being received for the release of the class members' claims is reasonable in light of the strengths and weaknesses of the claims and the risks of the particular litigation." (*Kullar, supra*, 168 Cal.App.4th at p. 129.) Of course, before performing its analysis the trial court must be "provided with basic information about the nature and magnitude of the claims in question and the basis for concluding that the consideration being paid for the release of those claims represents a reasonable compromise." (*Id.* at pp. 130, 133.)

B. PAGA

Labor Code section 2699, subdivision (l)(2) provides that "[t]he superior court shall review and approve any settlement of any civil action filed pursuant to" PAGA. The court's review "ensur[es] that any negotiated resolution is fair to those affected." (*Williams v. Superior Court* (2017) 3 Cal.5th 531, 549.) Seventy-five percent of any penalties recovered under PAGA go to the Labor and Workforce Development Agency (LWDA), leaving the remaining twenty-five percent for the aggrieved employees. (*Iskanian v. CLS Transportation Los Angeles, LLC* (2014) 59 Cal.4th 348, 380, overruled on other grounds by *Viking River Cruises, Inc. v. Moriana* (2022) 596 U.S. 639 , 2022 U.S. LEXIS 2940.)

Similar to its review of class action settlements, the Court must "determine independently whether a PAGA settlement is fair and reasonable," to protect "the interests of the public and the LWDA in the enforcement of state labor laws." (*Moniz v. Adecco USA, Inc.* (2021) 72 Cal.App.5th 56, 76–77.) It must make this assessment "in view of PAGA's purposes to remediate present labor law violations, deter future ones, and to maximize enforcement of state labor laws." (*Id.* at p. 77; see also *Haralson v. U.S. Aviation Servs. Corp*. (N.D. Cal. 2019) 383 F. Supp. 3d 959, 971 ["when a PAGA claim is settled, the relief provided for under the PAGA [should] be genuine and meaningful, consistent with the underlying purpose of the statute to benefit the public …."], quoting LWDA guidance discussed in *O'Connor v. Uber Technologies, Inc.* (N.D. Cal. 2016) 201 F.Supp.3d 1110 (*O'Connor*).)

The settlement must be reasonable in light of the potential verdict value. (See *O'Connor, supra,* 201 F.Supp.3d at p. 1135 [rejecting settlement of less than one percent of the potential verdict].) But a permissible settlement may be substantially discounted, given that courts often exercise their discretion to award PAGA penalties below the statutory maximum even where a claim succeeds at trial. (See *Viceral v. Mistras Group, Inc.* (N.D. Cal., Oct. 11, 2016, No. 15-CV-02198-EMC) 2016 WL 5907869, at *8–9.)

VII. SETTLEMENT PROCESS

Plaintiff initiated this action on October 25, 2022, and sent written notice to the Labor & Workforce Development Agency ("LWDA") on the same day. On February 1, 2023, Plaintiff filed the operative FAC. The parties conducted formal discovery and Defendant produced documents and information including Plaintiff's personnel files, policy documents, the Class members' contact information, Class members' timekeeping and pay records.

On October 15, 2025, the parties attended a mediation session with Eve Wagner, a respected mediator. After a day of negotiations, the Parties agreed to a settlement amount and executed a Memorandum of Understanding regarding the material terms of agreement. The parties spent the following few weeks negotiating the terms of the Settlement, which was finalized in October 2025. The negotiations were adversarial, conducted at arm's length, and tempered by the efforts of both sides to serve interests of their clients. On May 12, 2026, Plaintiff submitted the Settlement to the LWDA.

VIII. SETTLEMENT PROVISIONS

The non-reversionary gross settlement amount is $1,300,000. Attorneys' fees of up to one-third of the gross settlement amount ($433,333.33), litigation costs of up to $40,000, and settlement administration costs of up to $12,550. $70,000 will be allocated to PAGA penalties, 75% of which ($52,500) will be paid to the LWDA and the remaining 25% ($17,500) will be dispensed to "Aggrieved Employees" who are defined as "all persons currently or formerly employed by Defendant as a non-exempt employee in the State of California at any time during the PAGA period [October 25, 2021 to November 13, 2025]." Plaintiff will seek a service award of up to $15,000.

The net settlement amount will be allocated to Class Members who are defined as "all persons currently or formerly employed by Defendant as a non-exempt employee in the State of California at any time during the Class Period [May 1, 2018 to November 13, 2025]."[1] The average individual settlement payment will be approximately $675. For tax purposes, 20% of each Class Member's settlement payment will be allocated to wages and 80% will be allocated to interests and penalties. Defendant will pay the employer side payroll taxes separate and apart from the Settlement. Funds associated with checks uncashed after 180 days will be transmitted to State Controller's Unclaimed Property Fund.

In exchange for settlement, Class Members who do not opt out will release:

> [A]ll claims arising during the Class Period that were alleged, or reasonably could have been alleged, based on the facts stated in the Operative Complaint.

Aggrieved Employees, who consistent with the statute will not be able to opt out of the PAGA portion of the settlement, will release:

[1] Class Counsel failed to provide the estimated net settlement amount, however, using the figures above, the Court calculates it to be approximately $729,116.67.

> [A]ll claims for PAGA penalties arising during the PAGA Period that were alleged, or reasonably could have been alleged, based on the facts stated in the Operative Complaint, the PAGA Notice.

The foregoing releases are appropriately tailored to the allegations at issue. (See *Amaro v. Anaheim Arena Management, LLC* (2021) 69 Cal.App.5th 521, 537.)

IX. FAIRNESS OF SETTLEMENT

Based on available data provided by Defendant, Class Counsel engaged an expert to calculate Defendant's maximum exposure, which is as follows: $431,134 (minimum wage claim); $160,013 (unpaid overtime wages claim); $1,490,317 (meal period claim); $5,940,160 (rest break claim); $5,200,000 (waiting time penalties); $1,500,000 (wage statement claim); and $4,900,000 (PAGA penalties) —totaling $19,621,624.

Class counsel then considered the potential risk, expense, and complexity posed by litigation, such as difficulties of obtaining class certification and the merits of claims. Accordingly, Class Counsel adjusted the value of the claims as follows: 50% - 70% discount associated with class certification and 50% - 80% discount associated with the merits of the claims.

Consequently, Defendant's realistic exposure is as follows: $25,868.04 (minimum wage claims); $32,002.60 (unpaid overtime wages claim); $357,676.08 (meal period claim); $356,409.60 (rest break claim); $312,000 (waiting time penalties); $90,000 (wage statement claim); and $70,000 (PAGA penalties)—totaling $1,243,956.28.

The gross settlement amount is approximately 6.62% of the maximum exposure, which is within the range of recoveries typically approved by California courts. (See *Cavazos v. Salas Concrete, Inc.* (E.D. Cal., Feb 18, 2022, No. 1:19-cv-00062-DAD-EPG) 2022 U.S.Dist. LEXIS 30201, at *41-42 [citing cases approving settlements in the range of 5 to 35 percent of the maximum potential exposure].) Moreover, the gross settlement amount is approximately 104% of the realistic exposure which is well above the range of recoveries typically approved.

Considering the portion of the case's value attributable to uncertain penalties, claims that could be difficult to certify for class treatment, and the multiple, dependent contingencies that Plaintiff would have had to overcome to prevail on the claims, the settlement achieves a good result for the class. For purposes of preliminary approval, the Court finds that the settlement is fair and reasonable to the class, and the PAGA allocation is genuine, meaningful, and reasonable in light of the statute's purposes.

X. PROPOSED SETTLEMENT CLASS

Plaintiff requests that the following settlement class be provisionally certified:

> All persons currently or formerly employed by Defendant as a non-exempt employee in the State of California at any time during the Class Period.

A. Legal Standard for Certifying a Class for Settlement Purposes

Rule 3.769(d) of the California Rules of Court states that "[t]he court may make an order approving or denying certification of a provisional settlement class after [a] preliminary settlement hearing." California Code of Civil Procedure Section 382 authorizes certification of a class "when the question is one of a common or general interest, of many persons, or when the parties are numerous, and it is impracticable to bring them all before the court …."

Section 382 requires the plaintiff to demonstrate by a preponderance of the evidence: (1) an ascertainable class and (2) a well-defined community of interest among the class members. (*Sav-On Drug Stores, Inc. v. Superior Court* (2004) 34 Cal.4th 319, 326, 332 (*Sav-On Drug Stores*).) "Other relevant considerations include the probability that each class member will come forward ultimately to prove his or her separate claim to a portion of the total recovery and whether the class approach would actually serve to deter and redress alleged wrongdoing." (*Linder v. Thrifty Oil Co.* (2000) 23 Cal.4th 429, 435.) The plaintiff has the burden of establishing that class treatment will yield "substantial benefits" to both "the litigants and to the court." (*Blue Chip Stamps v. Superior Court* (1976) 18 Cal.3d 381, 385.)

In the settlement context, "the court's evaluation of the certification issues is somewhat different from its consideration of certification issues when the class action has not yet settled." (*Luckey v. Superior Court* (2014) 228 Cal.App.4th 81, 93.) As no trial is anticipated in the settlement-only context, the case management issues inherent in the ascertainable class determination need not be confronted, and the court's review is more lenient in this respect. (*Id.* at pp. 93–94.) But considerations designed to protect absentees by blocking unwarranted or overbroad class definitions require heightened scrutiny in the settlement-only class context, since the court will lack the usual opportunity to adjust the class as proceedings unfold. (*Id.* at p. 94.)

B. Ascertainable Class

A class is ascertainable "when it is defined in terms of objective characteristics and common transactional facts that make the ultimate identification of class members possible when that identification becomes necessary." (*Noel v. Thrifty Payless, Inc.* (2019) 7 Cal.5th 955, 980 (*Noel*).) A class definition satisfying these requirements

> puts members of the class on notice that their rights may be adjudicated in the proceeding, so they must decide whether to intervene, opt out, or do nothing and live with the consequences. This kind of class definition also advances due process by supplying a concrete basis for determining who will and will not be bound by (or benefit from) any judgment.

(*Noel*, *supra,* 7 Cal.5th at p. 980, citation omitted.)

"As a rule, a representative plaintiff in a class action need not introduce evidence establishing how notice of the action will be communicated to individual class members in order to show an ascertainable class." (*Noel*, *supra,* 7 Cal.5th at p. 984.) Still, it has long been held that "[c]lass members are 'ascertainable' where they may be readily identified … by reference to official records." (*Rose v. City of Hayward* (1981) 126 Cal. App. 3d 926, 932, disapproved of on another ground by *Noel, supra,* 7 Cal.5th 955; see also *Cohen v. DIRECTV, Inc.* (2009) 178 Cal.App.4th 966, 975-976 ["The defined class of all HD Package subscribers is precise, with objective characteristics and transactional parameters, and can be determined by DIRECTV's own account records. No more is needed."].)

Here, the estimated 1,124 Class members are readily identifiable based on Defendant's records, and the settlement Class is appropriately defined based on objective characteristics. The Court finds that the settlement Class is numerous, ascertainable, and appropriately defined.

C. Community of Interest

The "community-of-interest" requirement encompasses three factors: (1) predominant questions of law or fact, (2) class representatives with claims or defenses typical of the class, and (3) class representatives who can adequately represent the class. (*Sav-On Drug Stores, supra*, 34 Cal.4th at pp. 326, 332.)

For the first community of interest factor, "[i]n order to determine whether common questions of fact predominate the trial court must examine the issues framed by the pleadings and the law applicable to the causes of action alleged." (*Hicks v. Kaufman & Broad Home Corp.* (2001) 89 Cal.App.4th 908, 916 (*Hicks*).) The court must also examine evidence of any conflict of interest among the proposed class members. (See *J.P. Morgan & Co., Inc. v. Superior Court* (2003) 113 Cal.App.4th 195, 215.) The ultimate question is whether the issues which may be jointly tried, when compared with those requiring separate adjudication, are so numerous or substantial that the maintenance of a class action would be good for the judicial process and to the litigants. (*Lockheed Martin Corp. v. Superior Court* (2003) 29 Cal.4th 1096, 1104–1105 (*Lockheed Martin*).) "As a general rule if the defendant's liability can be determined by facts common to all members of the class, a class will be certified even if the members must individually prove their damages." (*Hicks*, *supra,* 89 Cal.App.4th at p. 916.)

Here, common legal and factual issues predominate. Plaintiff's claims all arise from Defendant's wage and hour practices and policies regarding reimbursement for business related expenses.

As for the second factor,

> The typicality requirement is meant to ensure that the class representative is able to adequately represent the class and focus on common issues. It is only when a defense unique to the class representative will be a major focus of the litigation, or when the class representative's interests are antagonistic to or in conflict with the objectives of those she purports to represent that denial of class certification is appropriate. But even then, the court should determine if it would be feasible to divide the class into subclasses to eliminate the conflict and allow the class action to be maintained.

(*Medrazo v. Honda of North Hollywood* (2008) 166 Cal. App. 4th 89, 99, internal citations, brackets, and quotation marks omitted.)

Like the other members of the proposed class, Plaintiff was employed by Defendant as a nonexempt employee and alleges that she experienced the violations at issue. The anticipated defenses are not unique to Plaintiff, and there is no indication that Plaintiff's interests are otherwise in conflict with those of the proposed class.

Finally, adequacy of representation "depends on whether the plaintiff's attorney is qualified to conduct the proposed litigation and the plaintiff's interests are not antagonistic to the interests of the class." (*McGhee v. Bank of America* (1976) 60 Cal.App.3d 442, 450.) The class representative does not necessarily have to incur all of the damages suffered by each different class member in order to provide adequate representation to the class. (*Wershba, supra,* 91 Cal.App.4th at p. 238.) "Differences in individual class members' proof of damages [are] not fatal to class certification. Only a conflict that goes to the very subject matter of the litigation will defeat a party's claim of representative status." (*Ibid*., internal citations and quotation marks omitted.)

Plaintiff has the same interest in maintaining this action as any Class member would have. Further, she has hired experienced counsel. Plaintiff has sufficiently demonstrated adequacy of representation.

D. Substantial Benefits of Class Certification

"[A] class action should not be certified unless substantial benefits accrue both to litigants and the courts. . . ." (*Basurco v. 21st Century Ins.* (2003) 108 Cal.App.4th 110, 120, internal quotation marks omitted.) The question is whether a class action would be superior to individual lawsuits. (*Ibid.)* "Thus, even if questions of law or fact predominate, the lack of superiority provides an alternative ground to deny class certification." (*Ibid.*) Generally, "a class action is proper where it provides small claimants with a method of obtaining redress and when numerous parties suffer injury of insufficient size to warrant individual action." (*Id*. at pp. 120–121, internal quotation marks omitted.)

Here, there are an estimated 1,124 Class Members. It would be inefficient for the Court to hear and decide the same issues separately and repeatedly for each class member. Further, it would be cost prohibitive for each class member to file suit individually, as each member would have the potential for little to no monetary recovery. It is clear that a class action provides substantial benefits to both the litigants and the Court in this case.

XI. NOTICE

The content of a class notice is subject to court approval. (Cal. Rules of Court, rule 3.769(f).) "The notice must contain an explanation of the proposed settlement and procedures for class members to follow in filing written objections to it and in arranging to appear at the settlement hearing and state any objections to the proposed settlement." (*Ibid.*) In determining the manner of the notice, the court must consider: "(1) The interests of the class; (2) The type of relief requested; (3) The stake of the individual class members; (4) The cost of notifying class members; (5) The resources of the parties; (6) The possible prejudice to class members who do not receive notice; and (7) The res judicata effect on class members." (Cal. Rules of Court, rule 3.766(e).)

Here, the notice, which will be provided in English, informs the Class Members of the nature of the lawsuit and their rights under the terms of the Settlement and applicable law. It includes: a detailed explanation of the case, including the basic contentions or denials of the Parties and the basic terms of the Settlement; a statement that the court will exclude the member from the class if they request so by a specified date; a procedure for the member to follow in requesting exclusions from the class; an explanation that members of the Class can participate in the Settlement by doing nothing; a statement that the judgment, whether favorable or not, will bind all members who do not request exclusion; and a statement that any member who does not request exclusion may, if the member so desires, enter an appearance through counsel. Class Members are given 60 days to exclude themselves or object.

The form of notice is generally adequate, but must be modified to instruct Class members that they may opt out of or object to the settlement simply by providing their name, without the need to provide their phone number or other personal information.

Regarding appearances at the final fairness hearing, the notice shall be modified to instruct class members as follows:

> Although class members may appear in person, the judge overseeing this case encourages remote appearances. Class members who wish to appear remotely should contact class counsel at least three days before the hearing if possible. Remote appearances must be made through UDC, unless otherwise arranged with the Court. Please go to https://santaclara.courts.ca.gov/online-services/remote-hearings to find the appropriate link. Also, please note that that you must register in advance to appear remotely..

Turning to the notice procedure, as articulated above, the parties have selected ILYM as the settlement administrator. No later than 15 days after preliminary approval, Defendant will deliver the Class data (i.e., Class list and related qualifying workweeks and contact information) to ILYM. ILYM, in turn, will mail the notice packet within 3 days of receiving the Class data, subsequent to updating Class members' addresses using the National Change of Address Database. Any returned notices will be re-mailed within 3 business days to any forwarding address provided or a better address located through a skip trace or other search. Class members who receive a re-mailed notice will have an additional 14 days to respond. These notice procedures are appropriate and are approved.

XII. SERVICE AWARD, FEES, AND COSTS

Plaintiff requests a service award of $15,000.

> The rationale for making enhancement or incentive awards to named plaintiffs is that they should be compensated for the expense or risk they have incurred in conferring a benefit on other members of the class. An incentive award is appropriate if it is necessary to induce an individual to participate in the suit. Criteria courts may consider in determining whether to make an incentive award include: 1) the risk to the class representative in commencing suit, both financial and otherwise; 2) the notoriety and personal difficulties encountered by the class representative; 3) the amount of time and effort spent by the class representative; 4) the duration of the litigation and; 5) the personal benefit (or lack thereof) enjoyed by the class representative as a result of the litigation. These "incentive awards" to class representatives must not be disproportionate to the amount of time and energy expended in pursuit of the lawsuit.

(*Cellphone Termination Fee Cases* (2010) 186 Cal.App.4th 1380, 1394-1395, internal punctuation and citations omitted; see also *Covillo v. Specialty's Café* (N.D. Cal. 2014) 2014

U.S.Dist.LEXIS 29837, at *29 [incentive awards are particularly appropriate where a plaintiff undertakes a significant "reputational risk" in bringing an action against an employer].)

Plaintiff submitted a declaration in support of her request. While Plaintiff described some of her efforts in this matter, she did not provide an estimate of the amount of time spent on this litigation. Accordingly, prior to the final approval hearing, Plaintiff shall submit a supplemental declaration indicating how many hours she spent working on this case and any other factors she would like the Court to consider.

The administrative costs in the amount of $12,550 is supported by the declaration of Lisa Mullins, President for ILYM. Thus, it is approved.

The court also has an independent right and responsibility to review the requested attorney fees and only award so much as it determines reasonable. (See *Garabedian v. Los Angeles Cellular Telephone Co.* (2004) 118 Cal.App.4th 123, 127-128.) Class Counsel will seek attorneys' fees of up to one-third of the gross settlement amount (currently estimated to be $433,333.33), and litigation costs for up to $40,000. Prior to any final approval hearing, Class Counsel shall submit lodestar information (including hourly rate and hours worked) as well as evidence of actual litigation costs incurred.

XIII. CONCLUSION

Plaintiff's motion for preliminary approval is GRANTED.

The final approval hearing shall take place on **December 3, 2026** at 1:30 in Department 22. The following Class is preliminarily certified for settlement purposes:

> All persons currently or formerly employed by Defendant as a non-exempt employee in the State of California at any time during the Class Period.

The Court will prepare the order.

- oo0oo -

- oo0oo -

Calendar Line 4

Case Name: *Cowley v. Apple, Inc.*
Case No.: 23CV424597

Plaintiff William Cowley ("Plaintiff") alleges that Defendant Apple, Inc. ("Defendant") wrongfully terminated his Apple Account without justification, resulting in conversion among other claims.

Before the Court is Defendant's motion for reclassification, which Plaintiff opposes. For the reasons discussed below, the Court DENIES the motion for reclassification.

FACTUAL AND PROCEDURAL BACKGROUND

According to the Second Amended Complaint ("SAC"), Defendant designs, manufactures, and markets smartphones, personal computers, tablets, watches, and accessories, and sells, or otherwise makes available related content for use on said devices. (SAC, ¶ 10.) To purchase or obtain content, iCloud storage, or make in-app purchases, consumers must create and use an Apple Account—formerly known as an Apple ID—which requires registration of a valid method of payment for any purchases made through Apple. (*Id.*, ¶¶ 7, 12.) On October 25, 2021, Plaintiff attempted to make a transaction on the Apple ecosystem but received notification that the transaction could not be completed. (*Id.*, ¶ 68.) Defendant terminated Plaintiff's Apple Account that same day and removed access to his electronically stored content—including years of personal content. (*Id.*, ¶ 9.) Although Plaintiff contacted Defendant and reviewed each transaction with Defendant's representatives to confirm their legitimacy and verified all payment methods on file, Plaintiff was advised that his account was disabled for "security reasons", and Defendant never articulated the basis for such concerns and refused to correct the termination or provide Plaintiff with access to his stored property. (*Id.*, ¶¶ 31-32, 70.) Plaintiff lost all content he acquired and maintained with his Apple Account since 2007 such as sentimental items and memories and documents regularly used as part of his employment. (*Id.*, ¶¶ 75, 77.)

On September 16, 2025, the Court (Hon. Adams) sustained in part Defendant's demurrer to the SAC and granted Defendant's motion to strike (the "September 16, 2025 Order"). The operative SAC alleges the following causes of action: (1) conversion; (2) unjust enrichment; and (3) violation of California Business and Professions Code section 17200 (the "UCL").

MOTION FOR RECLASSIFICATION

1. Legal Standard

A court may grant a motion for reclassification and enter an order for reclassification when (1) the class is incorrectly classified, and (2) the moving party shows good cause for not seeking reclassification earlier. (Code Civ. Proc., § 403.040, subd. (b).) A case must be transferred where either "(i) the absence of jurisdiction is apparent before trial from the complaint, petition, or related documents, *or* (ii) during the course of pretrial litigation, it becomes clear that the matter will 'necessarily' result in a verdict below the superior court jurisdictional amount, and the court affords the parties an opportunity to contest transfer." (*Walker v. Superior Court* (1991) 53 Cal.3d 257, 262 (*Walker*), emphasis original.)

An action shall be treated as a limited civil case only if: (1) the amount in controversy does not exceed twenty-five thousand dollars;[2] (2) the relief sought may be granted in a limited civil case; and (3) the relief sought is "exclusively of a type described in one or more laws that classify an action or special proceeding as a limited civil case or that provide that an action or special proceeding is within the original jurisdiction of the superior court." (See former Code Civ. Proc., § 85, subds. (a)-(c))

Discussion

In moving for reclassification, Defendant claims that the alleged value of the property in controversy is at most $15,514.64, and therefore, less than the $25,001 minimum requirement for unlimited cases. (Motion, p. 7:8-10.) Defendant further argues that the motion could not be filed until after the pleadings and amount at issue were resolved through the September 16, 2025 Order, therefore good cause exists for not seeking reclassification earlier. (*Id*., p. 7:10-11.)

2. Amount in Controversy

Defendant insists that the action be reclassified because (1) the property in controversy is less than $25,000, and (2) Code of Civil Procedure section 86, subdivision (a) is written such that a case is limited if either (i) the demand is less than $25,000 or (ii) the value of the property at issue is less than $25,000. (Motion, p. 6:14-16.)

"The prayer or 'demand' for relief in the complaint is relevant to valuation of the amount in controversy. [Citations.]" (*Stern v. Superior Court* (2003) 105 Cal.App.4th 223, 233 (*Stern*) [assessing "value of the case"].) Code of Civil Procedure section 85, subdivision (a) defines "amount in controversy" as "the amount of the demand, or the recovery sought, or the value of the property, or the amount of the lien, that is in controversy in the action, exclusive of attorneys' fees, interest, and costs." Former Code of Civil Procedure section 86, subdivision (a) provided that limited civil cases are those where "the demand, exclusive of interest, or the value of the property in controversy amounts to twenty-five thousand dollars ($25,000) or less."

Here, the SAC prays for the following relief: (1) a permanent injunction enjoining Defendant from engaging in the unfair and unlawful practices and violations of law; (2) return of Plaintiff's property Defendant stored in iCloud and seized upon termination of the Apple Account; (3) restitution of all funds acquired from Defendant's unfair business practices; (4) imposition of constructive trust upon all property, monies, and assets Defendant acquired after Plaintiff repurchased content; (5) damages according to proof, (6) punitive damages; (7) costs of suit; (8) interest on any amounts awarded; and (9) payment of reasonable attorneys' fees. (SAC, p. 31:7-27.)

Defendant maintains that the action is incorrectly classified given that the (1) "object" of the SAC is recovery of Plaintiff's personal property, which is purportedly valued as

[2] While the California Legislature raised the jurisdictional threshold for unlimited cases from $25,000 to $35,000 in 2024 (see Stats. 2023, ch. 861 § 2 [SB 71]), the Court will refer to the statute as stated prior to January 1, 2024, given that Plaintiff initiated this action in 2023. (See *Greenup v. Rodman* (1986) 42 Cal.3d 822, 830 [applying $15,000 threshold to action filed before enactment of statute raising jurisdictional threshold to $25,000].)

$15,514.64; and (2) in an action for recovery of personal property, courts do not consider the claim for damages in determining jurisdiction. (Motion, pp. 7:14-20, 9:8-11; see *Walker, supra,* 53 Cal.3d at p. 262 [requiring transfer where absence of jurisdiction is shown on the face of the pleading]; 3 Witkin, California Procedure (6th ed. 2026), Jurisdiction, § 33, subd. (1) [noting in action for recovery of property "when damages also were claimed, they were not added to the value of the property to obtain a total amount"].)

Defendant's citation to Witkin and *Holm v. Davis* (1935) 8 Cal.App.2d 328 (*Holm*) is distinguishable as the treatise and case both only concern allegations of a single cause of action for conversion or claim and delivery. (See *Holm, supra,* 8 Cal.App.3d at p. 330 [declining to consider reasonable value of a property's use because damages are incidental to action for claim and delivery but considering attorney's fees as special damages].) Here, the SAC alleges violation of the UCL, conversion, and unjust enrichment in the alternative. (See September 16, 2025 Order, p. 22 [permitting pleading of unjust enrichment as alternative to conversion].) Furthermore, the conversion claim expressly requests "the return of [Plaintiff's] personal property *or* the monetary value of the same." (SAC, ¶ 115, emphasis added.) Because the conversion claim seeks the unspecified monetary value in the alterative, the demand may still be determinative. (See 3 Witkin, California Procedure (6th ed. 2026), Jurisdiction, § 33, subd. (2) ["Where, although the value of personal property is involved, the action is not for the recovery of property, the demand and not the value determines jurisdiction. This is the case, e.g., where the action is for damages for conversion."])

Defendant next argues that the September 16, 2025 order forecloses any argument that the value of property could exceed $25,000 because Plaintiff bought his data for less than that amount. (Motion, p. 8:19-20.) Citing *Silvaco Data Systems v. Intel Corp.* (2010) 184 Cal.App.4th 210, Defendant asserts that Plaintiff's data has no value because it does not fit the definition of a trade secret and is not property under positive law. (*Id*. at p. 23, fn. 21.) The Court already rejected this argument by noting that under *Taylor v. Google, LLC* (9th Cir. Feb. 28, 2024, No. 22-16654) 2024 U.S. App. LEXIS 4642, at *4, Plaintiff's data—which encompasses personal items—constitutes property that may be subject to conversion. (September 16, 2025 at p. 18:20-22.) Furthermore, as Plaintiff argues, Defendant inaccurately characterizes the SAC because the $15,514.64 amount only concerns Plaintiff's expenditures "on Apple Content, Services, Apps, and in-app purchases". (Opposition, pp. 6:27-7:6; see SAC , ¶¶ 165, 174 [alleging Plaintiff "lost over $15,000.00 worth of purchases…*as well as* his personal property].) The SAC does not allege a value for Plaintiff's lost personal property (*e.g.,* photos and work documents), and the September 16, 2025 Order notes that the data—*i.e.* amount in controversy—includes both purchased content and Plaintiff's personal property. (September 16, 2025, p. 17:15-23.) Thus, the SAC does not establish on its face that the value of the personal property is less than $25,000.

Defendant insists that because the Court dismissed the breach of contract and misrepresentation claims, Plaintiff may no longer seek consequential damages under Civil Code section 3300[3], punitive damages, and other relief. As Plaintiff argues, his conversion claim may provide sufficient grounds for punitive damages and emotional distress damages.

[3] Civil Code section 3300 provides, "For the breach of an obligation arising from contract, the measure of damages, except where otherwise expressly provided by this Code, is the amount which will compensate the party aggrieved for all the detriment proximately caused thereby, or which, in the ordinary course of things, would be likely to result therefrom."

(Opposition, p. 6:19-26 [citing CACI 2102].) Indeed, Civil Code section 3336 provides the following as damages for conversion: (1) "value of the property at the time of the conversion, with the interest from that time, or, an amount sufficient to indemnify the party injured for the loss…" and (2) "A fair compensation for the time and money properly expended in pursuit of the property." And *Gonzales v. Pers. Storage* (1997) 56 Cal.App.4th 464, 476 interpreted Civil Code Section 3336, to include emotional distress damages. While the SAC does not expressly allege emotional distress damages, it alleges compensatory and exemplary damages and claims the loss of important personal property representing memories had a "huge impact." (SAC, ¶¶ 75, 117.) Furthermore, punitive damages are available for claims of conversion upon a showing of malice, fraud, or oppression. (See *Voris v. Lampert* (2019) 7 Cal.5th 1141, 1151.) The SAC alleges, "Defendant intentionally interfered with the rights of Plaintiff when it unlawfully seized the contents of his Apple account and prevented him from accessing Plaintiff's personal property." (SAC, ¶ 111.) The allegation is sufficient to demonstrate malice. (See Civ. Code, § 3294 ["'Malice' means conduct which is intended by the defendant to cause injury to the plaintiff or despicable conduct which is carried on by the defendant with a willful and conscious disregard of the rights or safety of others."])

Plaintiff further argues that his request for permanent injunction necessarily precludes reclassification as "a plaintiff in a limited civil action may not obtain a permanent injunction." (*Ytuarte v. Superior Court* (2005) 129 Cal.App.4th 266, 275 (*Ytuarte*).) Defendant contends that because (1) Code of Civil Procedure section 580, subdivision (b)(2) permits granting a permanent injunction authorized by statute in limited civil cases and (2) the UCL authorizes permanent injunctions, Plaintiff's request for a permanent injunction is not an absolute bar for reclassification. (Reply, p. 7:13-18.) While Defendant does not provide caselaw that directly supports this assertion, the Law Revision Commission comment to Code of Civil Procedure section 580, subdivision (b)(2) notes that the "authorized by statute" language was added "to clarify its interrelationship with provisions such as Business and Professions Code Section 12606, under which a court in a limited civil case is authorized to grant relief that might be considered a permanent injunction (e.g., an order to destroy property packed in misleading containers)." Business and Professions Code section 12606.2, subd. (g) expressly provides, "A proceeding under this section is a limited civil case if the value of the property in controversy is less than or equal to the maximum amount in controversy for a limited civil case under Section 85 of the Code of Civil Procedure." (See Food & Agr. Code, §§ 25564, 43039, 59289, subd. (b) [stating the same].) By contrast, Business and Professions Code section 17203, which authorizes permanent injunctions for UCL claims, does not expressly authorize granting permanent injunctions in a limited civil case. Furthermore, in a case Plaintiff cites elsewhere, one court rejected the suggestion that a civil harassment action should be considered by the appellate division as a "limited case" because the civil harassment statute authorizes a permanent injunction. (See *Williams v. Superior Court* (2021) 71 Cal.App.5th 101, 108, fn. 4.) Given the foregoing, Defendant has not established that permanent injunctions pursuant to the UCL are available in a limited civil case, and consequently fails to meet one of the requirements of Code of Civil Procedure section 85. (See former Code Civ. Proc., § 85, subd. (b).)

Defendant also contends that Plaintiff's request for permanent injunction is without merit as the SAC seeks to prevent Defendant's rightful termination of Plaintiff's new Apple Account and injunctive relief cannot be afforded to past acts. (Reply, pp. 7:28-8:10.) While the Court held that Defendant had a right under its Terms and Conditions to terminate Plaintiff's Apple Account for purposes of dismissing the breach of contract claim (September

16, 2025 Order at p. 24:10-11), the Court nonetheless held the UCL claim remained as the SAC adequately alleged an "unfair act" with, "[Defendant's] practice of seizing and depriving its customers of their personal property without justification or avenue to dispute the deprivation…" (*Id.* at p. 30:1-2; see SAC, ¶ 159.) The SAC also requests a permanent injunction "enjoining [Defendant] from continuing to engage in its unfair and unlawful conduct as alleged herein…" (SAC, ¶ 175.) These allegations are sufficient to plead entitlement to relief from future harm.

The Court must assume the truth of facts stated in the complaint. (*Walker, supra*, 53 Cal.3d at p. 269; see *Stern, supra,* 105 Cal.App.4th at p. 233 [noting reclassification does not involve "evaluation of the merits of the claim"].) Given the facts alleged and damages theories pled in the SAC, the Court concludes that (1) the absence of jurisdiction is not apparent from the SAC; and (2) Defendant has not established as a matter of legal certainty that a damage award of $25,000 is impossible. (See *Walker, supra,* 53 Cal.3d at p. 262; *Ytuarte, supra,* 129 Cal.App.4th at p. 277.)

Because Defendant has not demonstrated that the claim is incorrectly classified, the Court declines to address whether good cause exists for not requesting reclassification earlier. (See Code Civ. Proc., § 403.040, subd. (b).)

CONCLUSION

The motion for reclassification is DENIED.

Calendar Line 5

Case Name:
Case No.:

- oo0oo -

Calendar Line 6

Case Name: ***Gaspar v. Big T Supermarket, Inc.***
Case No.: **24CV433252**

This is a putative class and Private Attorneys General Act ("PAGA") action. Plaintiff Gustavo Enriquez Gaspar alleges defendant Big T Supermarket, Inc. committed various wage and hour violations.

Before the Court is Plaintiff's motion for preliminary approval of settlement, which is unopposed. As discussed below, the Court GRANTS the motion.

I. BACKGROUND

According to the allegations of the Complaint, Plaintiff worked as a clerk at Defendant's market in San Jose. (Complaint, ¶ 9.) Defendant failed to: pay all wages; provide compliant meal periods or compensation in lieu thereof; provide compliant rest periods or compensation in lieu thereof; timely pay wages; furnish accurate wage statements; pay wages upon termination; and reimburse necessary business expenses.

Based on the foregoing, Plaintiff initiated this action on March 18, 2024, with the filing of the Complaint, with asserts the following causes of action: (1) failure to provide required meal period; (2) failure to provide required rest breaks; (3) failure to pay overtime wages; (4) failure to pay minimum wages; (5) failure to pay timely wages; (6) failure to pay all wages due to discharged and quitting employees; (7) failure to maintain required records; (8) failure to furnish accurate itemized statements; (9) failure to provide and properly calculate mandatory California sick leave; (10) failure to provide and properly calculate supplemental COVID-19 sick pay; (11) failure to indemnify employees for necessary expenditures incurred in discharge of duties; (12) unfair and unlawful business practices; and (13) PAGA penalties.

Plaintiff now seeks an order: granting preliminary approval of the Class Action and PAGA Settlement (the "Settlement"); approving the Class notice and its distribution to Class members; provisionally certifying the Class for settlement purposes; appointing Plaintiff as the Class representative; appointing Scott Ernest Wheeler and Justin A. Wheeler of the Wheeler Law Firm, APC, as Class Counsel; and setting a final approval hearing.

II. LEGAL STANDARDS FOR SETTLEMENT APPROVAL

A. Class Action

Generally, "questions whether a [class action] settlement was fair and reasonable, whether notice to the class was adequate, whether certification of the class was proper, and whether the attorney fee award was proper are matters addressed to the trial court's broad discretion." (*Wershba v. Apple Computer, Inc*. (2001) 91 Cal.App.4th 224, 234–235 (*Wershba*), disapproved of on other grounds by *Hernandez v. Restoration Hardware, Inc.* (2018) 4 Cal.5th 260.)

In determining whether a class settlement is fair, adequate and reasonable, the trial court should consider relevant factors, such as the strength of plaintiffs' case, the risk, expense, complexity and likely duration of further litigation, the risk of maintaining class action status through trial, the amount offered in settlement, the extent of discovery completed and the stage of the proceedings, the experience and views of counsel, the presence of a governmental participant, and the reaction of the class members to the proposed settlement.

(*Wershba, supra*, 91 Cal.App.4th at pp. 244–245, internal citations and quotations omitted.)

In general, the most important factor is the strength of the plaintiffs' case on the merits, balanced against the amount offered in settlement. (See *Kullar v. Foot Locker Retail, Inc.* (2008) 168 Cal.App.4th 116, 130 (*Kullar*).) But the trial court is free to engage in a balancing and weighing of relevant factors, depending on the circumstances of each case. (*Wershba, supra*, 91 Cal.App.4th at p. 245.) The trial court must examine the "proposed settlement agreement to the extent necessary to reach a reasoned judgment that the agreement is not the product of fraud or overreaching by, or collusion between, the negotiating parties, and that the settlement, taken as a whole, is fair, reasonable and adequate to all concerned." (*Ibid.*, citation and internal quotation marks omitted.) The trial court also must independently confirm that "the consideration being received for the release of the class members' claims is reasonable in light of the strengths and weaknesses of the claims and the risks of the particular litigation." (*Kullar, supra*, 168 Cal.App.4th at p. 129.) Of course, before performing its analysis the trial court must be "provided with basic information about the nature and magnitude of the claims in question and the basis for concluding that the consideration being paid for the release of those claims represents a reasonable compromise." (*Id.* at pp. 130, 133.)

B. PAGA

Labor Code section 2699, subdivision (l)(2) provides that "[t]he superior court shall review and approve any settlement of any civil action filed pursuant to" PAGA. The court's review "ensur[es] that any negotiated resolution is fair to those affected." (*Williams v. Superior Court* (2017) 3 Cal.5th 531, 549.) Seventy-five percent of any penalties recovered under PAGA go to the Labor and Workforce Development Agency (LWDA), leaving the remaining twenty-five percent for the aggrieved employees. (*Iskanian v. CLS Transportation Los Angeles, LLC* (2014) 59 Cal.4th 348, 380, overruled on other grounds by *Viking River Cruises, Inc. v. Moriana* (2022) 596 U.S. 639 , 2022 U.S. LEXIS 2940.)

Similar to its review of class action settlements, the Court must "determine independently whether a PAGA settlement is fair and reasonable," to protect "the interests of the public and the LWDA in the enforcement of state labor laws." (*Moniz v. Adecco USA, Inc.* (2021) 72 Cal.App.5th 56, 76–77.) It must make this assessment "in view of PAGA's purposes to remediate present labor law violations, deter future ones, and to maximize enforcement of state labor laws." (*Id.* at p. 77; see also *Haralson v. U.S. Aviation Servs. Corp*. (N.D. Cal. 2019) 383 F. Supp. 3d 959, 971 ["when a PAGA claim is settled, the relief provided for under the PAGA [should] be genuine and meaningful, consistent with the underlying purpose of the statute to benefit the public …."], quoting LWDA guidance discussed in *O'Connor v. Uber Technologies, Inc.* (N.D. Cal. 2016) 201 F.Supp.3d 1110 (*O'Connor*).)

The settlement must be reasonable in light of the potential verdict value. (See *O'Connor, supra,* 201 F.Supp.3d at p. 1135 [rejecting settlement of less than one percent of the potential verdict].) But a permissible settlement may be substantially discounted, given that courts often exercise their discretion to award PAGA penalties below the statutory maximum even where a claim succeeds at trial. (See *Viceral v. Mistras Group, Inc.* (N.D. Cal., Oct. 11, 2016, No. 15-CV-02198-EMC) 2016 WL 5907869, at *8–9.)

III. SETTLEMENT PROCESS

On January 11, 2024, Plaintiff submitted his PAGA notice to the Labor and Workforce Development Agency ("LWDA"). On March 18, 2024, Plaintiff initiated the instant action. The parties agreed to participate in mediation and engaged in informal discovery. Defendant produced payroll information, sample wage statements and time records, and policies and procedures regarding Class members in addition to an Employee Handbook.

On September 18, 2025, the parties participated in a mediation session with Todd Smith, Esq. a highly experienced mediator, and they were able to reach a settlement. On January 23, 2026, the parties executed the Settlement currently before the Court.

IV. SETTLEMENT PROVISIONS

The non-reversionary gross settlement amount is $257,200. Attorneys' fees of up to one-third of the gross settlement amount ($85,647.60), litigation costs of up to $18,000, and settlement administrator costs of $8,250. $10,000 will be allocated to PAGA penalties, 75% of which ($7,500) will be paid to the LWDA and the remaining 25% ($2,500) will be dispensed to "PAGA Members" who are defined as "any Class Member who was employed or has been employed by Defendant at any time during the time period of January 13, 2023, through December 17, 2025."[4] Plaintiff will seek a Class representative award of $7,500.

The net settlement amount will be allocated to Class Members who are defined as "all non-exempt employees who were employed by Defendant, in the State of California, at any time from March 18, 2020 through December 17, 2025." For tax purposes, 25% of each Class Member's settlement payment will be allocated to wages and 75% will be allocated to interests and penalties. Defendant will pay the employer side payroll taxes separate and apart from the Settlement. Funds associated with checks uncashed after 180 days will be transmitted to Legal Aid at Work's Wage Protection Clinic.

In exchange for settlement, Class Members who do not opt out will release:

[A]ny and all claims, debts, liabilities, demands, obligations, guarantees, costs, expenses, attorneys' fees, damages, or causes of action contingent or accrued for, that are pleaded, or that could have been pleaded, based on the facts and claims alleged in the Operative Complaint, including any claims for: (a) failure to provide required meal periods and pay premium payments, California Labor Code §§ 226.7, 510, 512, and 558; (b) failure to provide required rest periods and pay premium payments, California Labor Code §§ 226.7 and 512; (c) failure to pay overtime wages, California Labor Code §§ 510, 1194 and 1198; (d) failure to pay minimum wages, California Labor Code §§ 1194 and 1197; (e) failure to timely pay wages §§ 204 and 210; (f) failure to timely pay all wages during employment and to discharged and quitting employees, California Labor Code §§ 201-203; (g) failure to maintain required records, California Labor Code §§ 226 and 226.3; (h) failure to furnish accurate, itemized wage

[4] Class Counsel uses the term "Aggrieved Employees" in the motion, however, the Settlement uses "PAGA Member(s)" thus, the Court will use the latter.

statements, California Labor Code §§ 226 and 226.3; (i) failure to provide and properly calculate mandatory California sick leave, California Labor Code §§ 246 and 247.5; (j) failure to provide sick leave and Supplemental COVID-19 Sick Leave, California Labor Code §§ 246, 247.5, 248.1, 248.2 and 248.6; (k) failure to indemnify for reasonable and necessary business expenses; California Labor Code § 2802; and (l) unlawful business practices under California, Business and Professions Code § 17200, et seq.; predicated on any of the violations of the California Labor Code and IWC Wage Order 7-2001, as alleged in the Operative Complaint including but not limited to, claims for restitution and other equitable relief, liquidated damages, or penalties; and any other benefit, wages, penalties, or other amounts claimed on account of the allegations asserted or which could have been asserted in the Operative Complaint and Plaintiff's LWDA Notice dated January 11, 2024.

PAGA Members, who consistent with the statute will not be able to opt out of the PAGA portion of the settlement, will release:

[A]ll claims for statutory penalties only that could have been sought by the Division of Labor Standards and Enforcement ("Labor Commissioner") for the violations identified by Plaintiff's pre-filing Notice to the Labor and Workforce Development Agency ("LWDA") dated January 11, 2024, only.

The foregoing releases are appropriately tailored to the allegations at issue. (See *Amaro v. Anaheim Arena Management, LLC* (2021) 69 Cal.App.5th 521, 537.)

V. FAIRNESS OF SETTLEMENT

Based on available data provided by Defendant, Class counsel engaged an expert to calculate Defendant's maximum exposure which is as follows: $64,550.32 (meal period claim); $19,789 (failure to pay all wages-off the clock work); $1,672 (failure to pay all wages-regular rate of pay); $288,000 (wage statement violations); $208,341.60 (failure to pay wages upon separation); and $484,300 (PAGA penalties)—totaling $1,066,652.92.

The gross settlement amount is approximately 24% of the maximum exposure, which is within the range of recoveries typically approved by California courts. (See *Cavazos v. Salas Concrete, Inc.* (E.D. Cal., Feb 18, 2022, No. 1:19-cv-00062-DAD-EPG) 2022 U.S.Dist. LEXIS 30201, at *41-42 [citing cases approving settlements in the range of 5 to 35 percent of the maximum potential exposure].)

Considering the portion of the case's value attributable to uncertain penalties, claims that could be difficult to certify for class treatment, and the multiple, dependent contingencies that Plaintiff would have had to overcome to prevail on the claims, the settlement achieves a good result for the class. For purposes of preliminary approval, the Court finds that the settlement is fair and reasonable to the class, and the PAGA allocation is genuine, meaningful, and reasonable in light of the statute's purposes.

VI. PROPOSED SETTLEMENT CLASS

Plaintiff requests that the following settlement class be provisionally certified:

All non-exempt employees who were employed by Defendant, in the State of California, at any time from March 18, 2020 through December 17, 2025.

A. Legal Standard for Certifying a Class for Settlement Purposes

Rule 3.769(d) of the California Rules of Court states that "[t]he court may make an order approving or denying certification of a provisional settlement class after [a] preliminary settlement hearing." California Code of Civil Procedure Section 382 authorizes certification of a class "when the question is one of a common or general interest, of many persons, or when the parties are numerous, and it is impracticable to bring them all before the court …."

Section 382 requires the plaintiff to demonstrate by a preponderance of the evidence: (1) an ascertainable class and (2) a well-defined community of interest among the class members. (*Sav-On Drug Stores, Inc. v. Superior Court* (2004) 34 Cal.4th 319, 326, 332 (*Sav-On Drug Stores*).) "Other relevant considerations include the probability that each class member will come forward ultimately to prove his or her separate claim to a portion of the total recovery and whether the class approach would actually serve to deter and redress alleged wrongdoing." (*Linder v. Thrifty Oil Co.* (2000) 23 Cal.4th 429, 435.) The plaintiff has the burden of establishing that class treatment will yield "substantial benefits" to both "the litigants and to the court." (*Blue Chip Stamps v. Superior Court* (1976) 18 Cal.3d 381, 385.)

In the settlement context, "the court's evaluation of the certification issues is somewhat different from its consideration of certification issues when the class action has not yet settled." (*Luckey v. Superior Court* (2014) 228 Cal.App.4th 81, 93.) As no trial is anticipated in the settlement-only context, the case management issues inherent in the ascertainable class determination need not be confronted, and the court's review is more lenient in this respect. (*Id.* at pp. 93–94.) But considerations designed to protect absentees by blocking unwarranted or overbroad class definitions require heightened scrutiny in the settlement-only class context, since the court will lack the usual opportunity to adjust the class as proceedings unfold. (*Id.* at p. 94.)

B. Ascertainable Class

A class is ascertainable "when it is defined in terms of objective characteristics and common transactional facts that make the ultimate identification of class members possible when that identification becomes necessary." (*Noel v. Thrifty Payless, Inc.* (2019) 7 Cal.5th 955, 980 (*Noel*).) A class definition satisfying these requirements

> puts members of the class on notice that their rights may be adjudicated in the proceeding, so they must decide whether to intervene, opt out, or do nothing and live with the consequences. This kind of class definition also advances due process by supplying a concrete basis for determining who will and will not be bound by (or benefit from) any judgment.

(*Noel*, *supra,* 7 Cal.5th at p. 980, citation omitted.)

"As a rule, a representative plaintiff in a class action need not introduce evidence establishing how notice of the action will be communicated to individual class members in order to show an ascertainable class." (*Noel*, *supra,* 7 Cal.5th at p. 984.) Still, it has long been held that "[c]lass members are 'ascertainable' where they may be readily identified … by reference to official records." (*Rose v. City of Hayward* (1981) 126 Cal. App. 3d 926, 932, disapproved of on another ground by *Noel, supra,* 7 Cal.5th 955; see also *Cohen v. DIRECTV, Inc.* (2009) 178 Cal.App.4th 966, 975-976 ["The defined class of all HD Package subscribers is precise, with objective characteristics and transactional parameters, and can be determined by DIRECTV's own account records. No more is needed."].)

Here, the estimated 170 Class members are readily identifiable based on Defendant's records, and the settlement Class is appropriately defined based on objective characteristics. The Court finds that the settlement Class is numerous, ascertainable, and appropriately defined.

C. Community of Interest

The "community-of-interest" requirement encompasses three factors: (1) predominant questions of law or fact, (2) class representatives with claims or defenses typical of the class, and (3) class representatives who can adequately represent the class. (*Sav-On Drug Stores, supra*, 34 Cal.4th at pp. 326, 332.)

For the first community of interest factor, "[i]n order to determine whether common questions of fact predominate the trial court must examine the issues framed by the pleadings and the law applicable to the causes of action alleged." (*Hicks v. Kaufman & Broad Home Corp.* (2001) 89 Cal.App.4th 908, 916 (*Hicks*).) The court must also examine evidence of any conflict of interest among the proposed class members. (See *J.P. Morgan & Co., Inc. v. Superior Court* (2003) 113 Cal.App.4th 195, 215.) The ultimate question is whether the issues which may be jointly tried, when compared with those requiring separate adjudication, are so numerous or substantial that the maintenance of a class action would be good for the judicial process and to the litigants. (*Lockheed Martin Corp. v. Superior Court* (2003) 29 Cal.4th 1096, 1104–1105 (*Lockheed Martin*).) "As a general rule if the defendant's liability can be determined by facts common to all members of the class, a class will be certified even if the members must individually prove their damages." (*Hicks*, *supra,* 89 Cal.App.4th at p. 916.)

Here, common legal and factual issues predominate. Plaintiff's claims all arise from Defendant's wage and hour practices and policies regarding reimbursement for business related expenses.

As for the second factor,

The typicality requirement is meant to ensure that the class representative is able to adequately represent the class and focus on common issues. It is only when a defense unique to the class representative will be a major focus of the litigation, or when the class representative's interests are antagonistic to or in conflict with the objectives of those she purports to represent that denial of class certification is appropriate. But even then, the court should determine if it would be feasible to divide the class into subclasses to eliminate the conflict and allow the class action to be maintained.

(*Medrazo v. Honda of North Hollywood* (2008) 166 Cal. App. 4th 89, 99, internal citations, brackets, and quotation marks omitted.)

Like the other members of the proposed class, Plaintiff was employed by Defendant as a non-exempt employee and alleges that he experienced the violations at issue. The anticipated defenses are not unique to Plaintiff, and there is no indication that Plaintiff's interests are otherwise in conflict with those of the proposed class.

Finally, adequacy of representation "depends on whether the plaintiff's attorney is qualified to conduct the proposed litigation and the plaintiff's interests are not antagonistic to the interests of the class." (*McGhee v. Bank of America* (1976) 60 Cal.App.3d 442, 450.) The class representative does not necessarily have to incur all of the damages suffered by each different class member in order to provide adequate representation to the class. (*Wershba, supra,* 91 Cal.App.4th at p. 238.) "Differences in individual class members' proof of damages [are] not fatal to class certification. Only a conflict that goes to the very subject matter of the litigation will defeat a party's claim of representative status." (*Ibid*., internal citations and quotation marks omitted.)

Plaintiff has the same interest in maintaining this action as any Class member would have. Further, he has hired experienced counsel. Plaintiff has sufficiently demonstrated adequacy of representation.

D. Substantial Benefits of Class Certification

"[A] class action should not be certified unless substantial benefits accrue both to litigants and the courts. . . ." (*Basurco v. 21st Century Ins.* (2003) 108 Cal.App.4th 110, 120, internal quotation marks omitted.) The question is whether a class action would be superior to individual lawsuits. (*Ibid.)* "Thus, even if questions of law or fact predominate, the lack of superiority provides an alternative ground to deny class certification." (*Ibid.*) Generally, "a class action is proper where it provides small claimants with a method of obtaining redress and when numerous parties suffer injury of insufficient size to warrant individual action." (*Id*. at pp. 120–121, internal quotation marks omitted.)

Here, there are an estimated 170 Class Members. It would be inefficient for the Court to hear and decide the same issues separately and repeatedly for each class member. Further, it would be cost prohibitive for each Class member to file suit individually, as each member would have the potential for little to no monetary recovery. It is clear that a class action provides substantial benefits to both the litigants and the Court in this case.

VII. NOTICE

The content of a class notice is subject to court approval. (Cal. Rules of Court, rule 3.769(f).) "The notice must contain an explanation of the proposed settlement and procedures for class members to follow in filing written objections to it and in arranging to appear at the settlement hearing and state any objections to the proposed settlement." (*Ibid.*) In determining the manner of the notice, the court must consider: "(1) The interests of the class; (2) The type of relief requested; (3) The stake of the individual class members; (4) The cost of notifying class members; (5) The resources of the parties; (6) The possible prejudice to class members who do not receive notice; and (7) The res judicata effect on class members." (Cal. Rules of Court, rule 3.766(e).)

Here, the notice, which will be provided in English, informs the Class Members of the nature of the lawsuit and their rights under the terms of the Settlement and applicable law. It includes: a detailed explanation of the case, including the basic contentions or denials of the Parties and the basic terms of the Settlement; a statement that the court will exclude the member from the class if they request so by a specified date; a procedure for the member to follow in requesting exclusions from the class; an explanation that members of the Class can participate in the Settlement by doing nothing; a statement that the judgment, whether favorable or not, will bind all members who do not request exclusion; and a statement that any member who does not request exclusion may, if the member so desires, enter an appearance through counsel. Class Members are given 60 days to exclude themselves or object. The form of notice is adequate.

Regarding appearances at the final fairness hearing, the notice shall be modified to instruct class members as follows:

Although class members may appear in person, the judge overseeing this case encourages remote appearances. Class members who wish to appear remotely should contact class counsel at least three days before the hearing if possible. Remote appearances must be made through UDC, unless otherwise arranged with the Court. Please go to https://santaclara.courts.ca.gov/online-services/remote-hearings to find the appropriate link. Also, please note that that you must register in advance to appear remotely..

Turning to the notice procedure, as articulated above, the parties have selected Phoenix Class Action Administration Solutions ("Phoenix") as the Settlement administrator. No later than 10 days after preliminary approval, Defendant will deliver the Class data (i.e., Class list and related qualifying workweeks and contact information) to Phoenix. Phoenix, in turn, will mail the notice packets within 10 days of receiving the Class data. Any returned notices will be re-mailed within 10 days to any forwarding address provided. If no forwarding address is found, Phoenix shall conduct an investigation for one and if one is found, Phoniex shall re-mail the notice within 7 days. Class members who receive a re-mailed notice will have 45 days after the postmark date of the re-mailed notice to respond. These notice procedures are appropriate and are approved.

VIII. SERVICE AWARD, FEES, AND COSTS

Plaintiff requests an enhancement payment of $7,500.
The rationale for making enhancement or incentive awards to named plaintiffs is that they should be compensated for the expense or risk they have incurred in conferring a benefit on other members of the class. An incentive award is appropriate if it is necessary to induce an individual to participate in the suit. Criteria courts may consider in determining whether to make an incentive award include: 1) the risk to the class representative in commencing suit, both financial and otherwise; 2) the notoriety and personal difficulties encountered by the class representative; 3) the amount of time and effort spent by the class representative; 4) the duration of the litigation and; 5) the personal benefit (or lack thereof) enjoyed by the class representative as a result of the litigation. These "incentive awards" to class representatives must not be disproportionate to the amount of time and energy expended in pursuit of the lawsuit.
(*Cellphone Termination Fee Cases* (2010) 186 Cal.App.4th 1380, 1394-1395, internal punctuation and citations omitted; see also *Covillo v. Specialty's Café* (N.D. Cal. 2014) 2014 U.S.Dist.LEXIS 29837, at *29 [incentive awards are particularly appropriate where a plaintiff undertakes a significant "reputational risk" in bringing an action against an employer].)

Plaintiff submitted a declaration in support of his request. He states he spent approximately 26 hours on this action, including locating and reviewing documents in support of his claims, communicating with Class Counsel, helping with preparation for mediation, and reviewing the Settlement. (Plaintiff's Decl., ¶¶ 13-14, 17-21, 25.) He further states that he considered the personal, professional, and financial risk of participating in this action as the named plaintiff. (Plaintiff's Decl., ¶¶ 10-11.) The Court finds Plaintiff is entitled to a service award and the amount requested is reasonable. Thus, Plaintiff's request is preliminarily approved.

The administrative costs in the amount of $8,250 is supported by the declaration of Jodey Lawrence, President of Business Development for Phoenix. Thus, it is approved.

The court also has an independent right and responsibility to review the requested attorney fees and only award so much as it determines reasonable. (See *Garabedian v. Los Angeles Cellular Telephone Co.* (2004) 118 Cal.App.4th 123, 127-128.) Class counsel will seek attorneys' fees of up to one-third of the gross settlement amount (currently estimated to be $85,647.60), and litigation costs for up to $18,000. Prior to any final approval hearing, Class counsel shall submit lodestar information (including hourly rate and hours worked) as well as evidence of actual litigation costs incurred.

IX. CONCLUSION

Plaintiff's motion for preliminary approval is GRANTED.

The final approval hearing shall take place on December 3, 2026 at 1:30 in Department 22. The following Class is preliminarily certified for settlement purposes:

All non-exempt employees who were employed by Defendant, in the State of California, at any time from March 18, 2020 through December 17, 2025.

The Court will prepare the order.

- oo0oo -

- oo0oo -

Calendar Line 7

Case Name: *Richard Haynie, et al. v. Google LLC, et al.*
Case No.: 24-CV-446330

This is a putative class action. Plaintiffs Richard Haynie and Constance Adler Galloway (collectively, "Plaintiffs") allege Defendants Google LLC and YouTube LLC (collectively, "Defendants," or "Google") discriminated against older Californians by excluding them from receiving advertisements about insurance, banking, and other financial opportunities. The court sustained Defendants' prior demurrer with leave to amend. Presently before the court is Defendants' demurrer to Plaintiffs' Second Amended Complaint.

As discussed below, the court OVERRULES the demurrer.

I. BACKGROUND

Plaintiffs allege that they and others similarly situated experienced age discrimination in violation of the Unruh Civil Rights Act ("Unruh Act") because of Defendants' use of "demographic targeting" in insurance, banking, and other financial opportunity-related advertising.

At the time of the filing of the original complaint, Haynie was a 66-year-old man who has used and interacted with Defendants' online platforms to learn about a range of information, including information on insurance, banking, and other financial opportunities, while logged into his Google and Gmail accounts. (SAC, ¶¶ 18-20.) Over the past three years, he has owned a car for which he had car insurance, he has had bank accounts, retirement investments, and other investments, and he has purchased travel insurance. (SAC, ¶ 21.) However, during that time he has been routinely denied advertisements for insurance, banking, and other financial opportunities on Defendants' online platforms because he is an older person and because Defendants and advertisers on Defendants' online platforms excluded Haynie and other older Californians from receiving the advertisements. (*Id.*) Haynie alleges that he provided his date of birth to Defendants because he was required to do so when registering an account. (SAC, ¶¶ 74-75.) He further alleges that Defendants used his date of birth information for targeted advertising which resulted in him being unable to view insurance and banking ads for products that he would have been interested in, including advertisements from Amica Insurance and BMO Alto, and that on information and belief, he did not see those advertisements in a different form. (SAC, ¶¶ 73-84.) Haynie states that because he was unable to see those ads, he did not learn of services he was searching for and was excluded from cost savings. (SAC, ¶ 81.)

At the time of the filing of the First Amended Complaint, Adler Galloway was a 63-year-old woman, who has used and interacted with Defendants' online platforms to learn about a range of information, including information on insurance, banking, and other financial opportunities while logged into her Google and Gmail accounts. (SAC, ¶¶ 22-24.) During the past three years, Adler Galloway has owned a car for which she has car insurance, and has been routinely denied advertisements for insurance, banking, and other financial opportunities on Defendants' online platforms because she is an older person and because Defendants and advertisers on Defendants' online platform excluded Adler Galloway and other older Californians from receiving advertisements for insurance, banking, and other financial opportunities services she was interested in, including for specific services like Nerdwallet and Lemonade. (SAC, ¶¶ 25, 92, 96.) She further alleges that Defendants used her date of birth information for targeted advertising which resulted in her being unable to view ads for products that would have offered her a financial benefit, including an advertisement for The Zebra for car insurance comparisons and an age-targeted advertisement for State Farm for car insurance. (SAC, ¶ 91.) Adler Galloway states on information and belief that she did not see those advertisements in a different form. (*Id.*) Adler Galloway states that because she was unable to see those ads, she did not learn of services she was searching for and was excluded from cost savings. (SAC, ¶ 93.)

Plaintiffs allege that Defendants use "Sponsored" results or paid ads to display search results to users in their Google Search and on YouTube. (SAC, ¶¶ 37-38.) Defendants do not show the same results to older users that they show to younger people because advertisers direct Defendants not to show their paid ads to people above a certain age range and Defendants have implemented the direction. (SAC, ¶¶ 39- 41.) Plaintiffs further allege that the Google Display Network ("Google Display") provides a way for advertisers to reach potential customers across 35 million websites and apps. (SAC, ¶ 42.) Through Google Display, an advertiser pays Defendants to display its advertisement on various websites or to Defendants' users when they use YouTube or Gmail, Defendants pay websites to host the advertisements that Google Display displays on those websites. (*Id.*) Google Display does not show the same result to each user because the advertisers had directed Defendants not to show its paid ads to people above a certain age range and Defendants have implemented that direction. (SAC, ¶ 43.)

Based on the foregoing, Haynie initiated this action on August 30, 2024, which asserts claims for (1) age discrimination in violation of Unruh Civil Rights Act (Civil Code, §§ 51, 52, subd. (a)); and (2) age discrimination in violation of Civil Code § 51.5 and 52, subdivision (a)). On January 29, 2025, Plaintiffs filed the FAC, which added Adler Galloway as a plaintiff. On November 5, 2025, Plaintiffs filed the SAC, which added facts about Plaintiffs' injuries.

II. DEMURRER

A. Legal Standard

The function of a demurrer is to test the legal sufficiency of a pleading. (*Trs. Of Capital Wholesale Elec. Etc. Fund v. Shearson Lehman Bros.* (1990) 221 Cal.App.3d 617, 621.) Consequently, "[a] demurrer reaches only to the contents of the pleading and such matters as may be considered under the doctrine of judicial notice." (*Mathews v. Becerra* (2019) 8 Cal.5th 756, 762 , internal citations and quotations omitted; see also Code Civ. Proc., § 430.30, subd. (a).) The court in ruling on a demurrer treats it "as admitting all material facts properly pleaded, but not contentions, deductions or conclusions of fact or law." (*Piccinini v. Cal. Emergency Management Agency* (2014) 226 Cal.App.4th 685, 688, citing *Blank v. Kirwan* (1985) 39 Cal.3d 311, 318.)

"It is not the ordinary function of a demurrer to test the truth of the plaintiff's allegations or the accuracy with which he describes the defendant's conduct. … Thus, … the facts alleged in the pleading are deemed to be true, however improbable they may be." (*Align Technology, Inc. v. Tran* (2009) 179 Cal.App.4th 949, 958, internal citations and quotations omitted.)

In ruling on a demurrer, the allegations of the complaint must be liberally construed, with a view to substantial justice between the parties. (*Glennen v. Allergan, Inc.* (2016) 247 Cal.App.4th 1, 6.)

B. Discussion

1. Plaintiffs' Standing

The Unruh Act acts as "a bulwark protecting each person's inherent right to "full and equal" access to "all business establishments." (*Angelucci v. Century Supper Club* (2007) 41 Cal.4th 160, 175, internal citations omitted.) The Unruh Act states that all Californians "are entitled to the full and equal accommodations, advantages, facilities, privileges, or services in all business establishments of every kind whatsoever." (Civ. Code § 51.**)** To prevail on an Unruh Act claim, a plaintiff must allege that a business's policy discriminated against him or her, or that the plaintiff was a member of the class discriminated against. (See *Midpeninsula Citizens for Fair Hous. v. Westwood Invs.* (1990) 221 Cal.App.3d 1377, 1386, rehg. den. July 31, 1990; *Angelucci*, *supra*, at 175.) The Unruh Act further states that "[n]o business establishment … shall discriminate against, boycott or blacklist, or refuse to buy from, contract with, sell to, or trade with any person in this state on account of" a plaintiff's protected status. (Civ. Code § 51.5.)

Defendants demur on the basis that each of the two causes of action set forth in the Second Amended Complaint fails to allege facts sufficient to constitute a cause of action pursuant to Code of Civil Procedure section 430.10. In the court's prior order sustaining the Defendants' demurrer to Plaintiffs' First Amended Complaint with leave to amend, the court identified three deficiencies in Plaintiffs' complaint: (1) that Plaintiffs did not specifically allege how Google knew Plaintiffs' ages or dates of birth; (2) that Plaintiffs did not allege a concrete injury; and (3) that Plaintiffs did not present specific facts about the ads that they did not see due to their ages.

First, the SAC alleges that Plaintiffs were required by Defendants to disclose a date of birth (and thus an age) when creating Google and Gmail accounts, that each Plaintiff disclosed his or her date of birth, and that each was signed into a Google and Gmail account while searching on Google. (SAC, ¶¶ 74, 75, 85-86.) These facts sufficiently allege how Google knew Plaintiffs' ages.

Defendants seek to undermine this point by arguing that Plaintiffs' fail to allege they could not opt out of having their ages used for ads and seek judicial notice of a Google website about providing a date of birth when making an account. The court denies the request for judicial notice of Exhibit E on the basis that the document is not properly subject to judicial notice.

The court may take judicial notice of facts that are "not reasonably subject to dispute and are capable of immediate and accurate determination by resort to sources of reasonably indisputable accuracy." (Evid. Code § 452, subd. (h).) Defendants point to two cases to support the proposition that courts have taken judicial notice of website content under subdivision (h), but neither persuades this court to take judicial notice of what Defendants propose. One case takes judicial notice of a website as reference material to clarify the language of a statute. (*In* *re Gilbert R.* (2012) 211 Cal.App.4th 514, 519, n.1 [referencing an article on the American Knife and Tool Institute's website defining knife mechanisms in order to determine if a statute bars possession of a particular switchblade]). In the other case, the court did not take judicial notice in a manner analogous to this case; rather, the court took judicial notice of the JAMS arbitration rules (on its own motion) and held that it was properly subject to judicial notice because the rules were not reasonably subject to dispute and could be immediately and accurately determined by going to the JAMS website. (*Vo v. Tech. Credit Union* (2025) 108 Cal.App.5th 632, 640.) It was not the case that the court wholesale took judicial notice of the JAMS webpage itself – instead, it took judicial notice of the *rules* governing arbitration procedures because the website could be used to verify the rules.

The webpage Defendants seeks judicial notice of is not third-party reference material: it is a document authored by and hosted on Google's website and purports to prove facts that parties dispute (specifically, if Google users can opt out of providing a date of birth when registering accounts). Plaintiffs allege that providing a date of birth is required for making a Google account, thus arguing that a user cannot opt out. (SAC, ¶¶ 74, 75, 85-86.) Defendants allege that is false. (Demurrer, p. 11.) Exhibit E is not a proper subject for judicial notice because it does not elucidate the matter: it does not explicitly state if Google users could opt out of providing a date of birth at the time Plaintiffs registered their accounts. The court denies the request for judicial notice of Exhibit E because the facts in the document are reasonably subject to dispute and thus not a proper subject for judicial notice.[5]

Moreover, the ability of the Plaintiffs to opt out of providing a date of birth during account registration is not determinative at this stage. Defendants read a requirement into precedent and this court's prior order that users be unable to opt out of providing information to survive demurrer, but the court does not agree with this interpretation. Plaintiffs' argument is that Google used information they provided to Google in a discriminatory fashion. Plaintiffs do not need to prove they were <u>required</u> to provide that information; even if they were not required to, Plaintiffs have alleged that they disclosed that information. In alleging they provided date of birth information to Google during account registration, Plaintiffs sufficiently alleged how Google knew their ages and dates of birth and thus alleged one of the facts for stating a claim of discrimination.

[5] The court notes the arguments raised by Defendants in their Reply about Exhibit E being incorporated by reference in the SAC. Defendants cite a case from the Ninth Circuit Court of Appeals to support the proposition that it is appropriate for a court to consider documents incorporated by reference at the motion to dismiss demurrer stage where "plaintiff's claim depends on the contents of a document, the defendant attaches the document to its motion to dismiss, and the parties do not dispute the authenticity of the document, even though the plaintiff does not explicitly allege the contents of that document in the complaint." (*Knievel v. ESPN* (9th Cir. 2005) 393 F.3d 1068, 1076.) Defendants also cite to two binding California cases in which the court took judicial notice of a page available in a hyperlink but neither provides guidance in the instant action. (*InSyst, Ltd. v. Applied Materials, Inc.* (2009) 170 Cal.App.4th 1129, 1133-1134 [taking judicial notice of a hyperlink in a filing notice email sent to parties' attorneys in order to determine if an appeal was timely filed]; *In re Forchion* (2009) 198 Cal.App. 4th 1284 [taking judicial notice of a website entitled "NJweedman.com" and everything hyperlinked on that website where petitioner sought to legally change his name to Njweedman.com].) The court finds the federal case persuasive but nonetheless concludes that because Plaintiffs dispute the authenticity of the document, judicial notice is not appropriate under incorporation by reference doctrine. (Plaintiffs' Opposition to Defendants' Request for Judicial Notice, p. 10 ["Google's Request does not state when Exhibit E was captured, whether the website in Exhibit E was unchanged during the 2021-to-present class period, or whether Google's user registration page linked to the content in Exhibit E during the entire class period."].)

The SAC corrects the second and third deficiencies highlighted in this court's prior order. Plaintiffs' new allegations in the SAC are that they searched for information on banking, insurance, and other financial opportunities while logged into Google accounts; that timely action is required for insurance, banking and financial opportunities; and that Plaintiffs suffered the loss of the opportunity to compete for the same opportunities as those not in their protected class. (SAC, ¶¶ 101-103.) Precedent establishes that the loss of financial opportunities via exclusion from targeted ads can be an injury for the purposes of establishing standing under the Unruh Act. (*Liapes v. Facebook*, Inc. (2023) 95 Cal.App.5th 910, 921 (*Liapes*) [finding that Plaintiff "actually suffered discrimination" because "she was deprived of information regarding insurance opportunities despite being ready and able to pursue those opportunities."].) The SAC also includes new allegations that there were specific advertisements about financial opportunities that Plaintiffs did not see due to their ages, such as those of Amica Insurance, BMO Alto, The Zebra, and State Farm, that on information and belief, they did not receive parallel ads with the same information, and that they lost out on financial benefits due to not seeing those ads. (SAC, ¶¶ 73-84, 91, 93.) Plaintiffs, like the plaintiff in *Liapes*, identified several insurance ads they did not receive because they were "expressly outside the … parameters for age … thus requiring [them] to independently search for insurance opportunities." (*Liapes*, *supra*, 95 Cal.App.5th at p. 923.) Plaintiffs have sufficiently alleged similar enough facts to *Liapes* to also have standing.

2. Arbitrary and Invidious Standard

Defendants argue in their Demurrer that Plaintiffs failed to allege that Defendants' conduct is arbitrary and invidious discrimination within the meaning of the Unruh Act, and moreover that their targeted advertising is guided by legitimate business interests.

The Unruh Act prohibits "only *arbitrary, invidious or unreasonable discrimination*." (*Javorsky v. Western Athletic Clubs, Inc.* (2015) 242 Cal.App.4th 1386, 1395, quoting *Sargoy v. Resolution Trust Corp.* (1992) 8 Cal.App.4th 1039, 1043, emphasis in original.) An otherwise prohibited "discriminatory practice" will be upheld as reasonable, and therefore not arbitrary, "when there is a strong public policy in favor of such treatment." (*Candelore v. Tinder, Inc.* (2018) 19 Cal.App.5th 1138, 1153, internal citations omitted.) For example, "exclud[ing] children from bars or adult bookstores because it is illegal to serve alcoholic beverages or to distribute 'harmful matter' to minors…is not arbitrary because it is based on a 'compelling societal interest' and does not violate the Act." (*Koire v. Metro Car Wash* (1985) 40 Cal.3d 24, 31, internal citations omitted.)

Defendants argue that there is a strong public policy in favor of targeted advertising based on age, pointing to statutes and regulations contemplating or requiring different treatment in insurance policies based on age. (Code Regs. tit. 10, § 2248.37; Ins. Code §§ 11628.3, subd. (a), 10509.8, subd. (a).) However, these statutes support the proposition that businesses can treat customers differently based on age with respect to pricing. Plaintiffs do not challenge differential *pricing* based on age – rather, they challenge differential *advertising* based on age. Plaintiffs argue that because of age, they lost financial opportunities due to not seeing the same ads as others not in their protected class. (SAC, ¶¶ 81, 91.) Thus, these statutes do not foreclose the claims in this case. Defendants also argue that there are legitimate business interests in protecting investments in advertising, but "a business's interest in maximizing profits is insufficient to justify discrimination based on an individual's *personal characteristics*." (*Candelore*, *supra,* at p. 1154, internal citations omitted.) The SAC's allegations do not compel the finding that there is a public policy reason why older consumers searching for information about insurance, banking, and other financial products should be treated differently from younger consumers.

Defendants seek judicial notice of Exhibits A through D to Defendants' Request for Judicial Notice in Support of Demurrer. Defendants state that Exhibit A is a copy of Ethos Life Insurance's webpage entitled "Our Online Life Insurance Policies." Defendants state this document is publicly available and include a link to a webpage, but following the link leads to a 404 error message. Because Exhibit A is evidently not a publicly available document, the court denies Defendants' request for judicial notice of Exhibit A. As for Exhibits B through D, Defendants seek judicial notice of those documents "as examples of the simple, uncontroversial fact that companies that offer insurance, banking, and other financial services often treat customers differently based on their age… illustrat[ing] the obvious point that people in different age groups have different insurance, banking, and financial needs and preferences." (Defendants' Reply in Support of Request for Judicial Notice, p. 1, internal citations omitted). The court grants Defendants' requests for judicial notice of Exhibits B through D to Defendants' Request for Judicial Notice In Support of Demurrer only for the fact of each Exhibit's existence and not for the truth of the contents of the Exhibits, as "[t]he contents of … Web sites … are 'plainly subject to interpretation and for that reason not subject to judicial notice.'" (*Ragland v. U.S. Bank Nat. Assn.* (2012) 209 Cal. App. 4th 182, 194, internal citations omitted.) The court takes judicial notice of the fact that some banking, insurance, and other financial services have different products tailored for different age groups. The court does not take judicial notice of the fact that people in different age groups have different insurance, banking, and financial needs and preferences, as that fact is not proven by Exhibits B through D; Exhibits B through D do not show what customers need or prefer, but rather what some businesses offer some customers. Nevertheless, as explained above, the fact that some banking, insurance, and other financial services treat some customers differently with respect to pricing does not foreclose Plaintiffs' claims because Plaintiffs challenge differential advertising, not differential pricing.

Finally, although the *Liapes* court did not address the issue of arbitrary and invidious discrimination, it nonetheless demonstrates that a plaintiff can allege an Unruh Act violation by presenting facts analogous to the instant action. In *Liapes,* the court stated that: "on demurrer, the critical issue here is whether Liapes sufficiently alleged Facebook's ad platform discriminates against a protected class, such as women and older people, even if in pursuit of those legitimate business goals. We conclude she has." (*Liapes*, *supra*, 95 Cal.App.5th at p. 925.)

Defendants have not shown that the alleged discrimination is not arbitrary and invidious as a matter of law such that the demurrer can be sustained on this ground.

3. Immunity Under United States Code, Title 47, Section 230

Defendants argue in their demurrer that Plaintiffs' claims are barred by section 230 of Title 47 of the United States Code ("Section 230"). Defendants argue in their demurrer with respect to Section 230 liability that "what matters is whether Google's neutral tools, available to advertisers around the world, can be used only unlawfully" or whether Google specifically encouraged advertisers to use those tools unlawfully. (Defendants' Reply in Support of Demurrer, p. 10).

Generally, websites cannot be held liable for content created by third parties, including in state court. (47 U.S.C. § 230(c)(1); 47 U.S.C. § 230(e)(3).) Websites cannot disclaim liability from discriminatory content on their websites where that website is an "information content provider – that is, someone 'responsible in whole or in part, for the creation or development' of the content at issue.'" (*Fair Hous. Council v. Roommates.com, LLC* (9th Cir. 2008) 521 F.3d 1157, 1163 (*Fair Hous. Council*), quoting 47 U.S.C. § 230(f)(3).) In assessing if a website has acted as an "information content provider," the court determines if that website's actions "contribute[d] materially to the alleged illegality of the conduct." (*Vargas v. Facebook, Inc.* (9th Cir. Oct. 13, 2023, No. 21-16499) 2023 U.S. App. LEXIS 27288, quoting *Fair Hous. Council, supra,* at p. 1168.)

In *Vargas*, the Ninth Circuit Court of Appeals found Facebook liable for content posted on its platform because the platform "identified persons in protected categories and offered tools that directly and easily allowed advertisers to exclude all persons of a protected category." (*Vargas, supra*, at *9.) The court determined that Facebook "contributed materially" to ads on its platform by allowing advertisers to exclude persons in a wide range of categories, holding: "whether by the user's direct selection or by sophisticated inference, Facebook determines the user's membership in a wide range of categories, and Facebook permits housing advertisers to exclude persons in those categories." (*Id.* at *7.)

Plaintiffs allege that the Google Ads platform requires advertisers to identify the audience of the ad, including "the age range of users who will receive their ads," and that "Defendants encourage, recommend, and permit advertisers to narrow the age demographic audience of their ads so that only people within a certain age range will receive certain ads and people outside that age range will not receive those ads." (SAC, ¶¶ 44, 45.) Like in *Vargas*, Google created categories or demographics that advertisers could select to advertise, assigned users to the categories, and then gave advertisers the options to exclude some users based on those categories.[6] Plaintiffs have alleged sufficient facts to support a claim that Google acts as a co-developer with respect to some ads in a manner similar to Facebook in *Vargas*.

Defendants also argue that their tools can be used neutrally or unlawfully, and that Defendants should not be liable for bad actors' unlawful use of their tools. The court in *Vargas* was unpersuaded by a similar argument made by Facebook that its tools were used neutrally or not unlawfully by other advertisers in other contexts: "a patently discriminatory tool offered specifically and knowingly to housing advertisers does not become 'neutral' within the meaning of this doctrine simply because the tool is also offered to others." (*Vargas, supra*, at *10.) Plaintiffs allege that Google encourages advertisers using Google Ads to use age-based demographic targeting. (SAC, ¶¶ 56-58.) While Plaintiffs do not allege that Google encouraged specifically insurance, banking, and other financial advertisers to use age-based demographic targeting, they do allege that Google knew that its tools could be used unlawfully in the housing, employment, and certain consumer financial contexts and took action to prevent those unlawful uses. (*Id.*, ¶¶ 60-62). By alleging that Google knew its neutral tools could be used

[6] Defendants argues that this case must be distinguished from *Vargas* because Google users can opt out of being assigned to categories based on age. As explained above, regardless of if that fact is true, Plaintiffs have alleged that they did not opt out and disclosed their age and then experienced discrimination, thus sufficiently pleading that they experienced discrimination.

unlawfully in similar contexts and chose not to act in this context, Plaintiffs have sufficiently alleged that like in *Vargas*, Google offered its tools "specifically and knowingly" to advertisers who could discriminate.

As with Defendants' request for judicial notice of Exhibit E, the court denies the Defendants' request for judicial notice of Exhibit F on the basis that the document is not an appropriate subject for judicial notice. Defendants state in their Reply in Support of Request for Judicial Notice that "Exhibit F reflects that Google prohibits advertisers from targeting ads in any way that does not comply with applicable law." Plaintiffs dispute this fact. (Plaintiffs' Opposition to Defendants' Request for Judicial Notice, p. 10-11 ["just because Google's website states that advertisers are required not to discriminate in their advertising does not mean that Google actually requires such compliance or prohibits it."].) The facts in the document are reasonably subject to dispute and thus not a proper subject for judicial notice.

Defendants have not shown that the Plaintiffs' claims are barred by Section 230 such that the demurrer can be sustained on this ground.

III. CONCLUSION

Defendants' demurrer is OVERRULED.

The court will prepare the Order.

- oo0oo -

Calendar Line 8

Case Name:
Case No.:

- oo0oo -

Calendar Line 9

Case Name:
Case No.:

- oo0oo -

Calendar Line 10

Case Name:
Case No.:

- oo0oo -

Calendar Line 11

Case Name:
Case No.:

- oo0oo -

Calendar Line 12

Case Name:
Case No.:

- oo0oo -

Calendar Line 13

Case Name:
Case No.:

- oo0oo -